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PROCUREMENT POLICY

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Glossary

ADS	Automated Directives System
APP	Annual Procurement Plan
AO	Agreement Officer
AOR	Agreement Officer Representative
BPA	Blanket Purchase Agreement
CFO	Chief Financial Officer
CO	Contract Officer
COP	Chief of Party
COR	Contract Officer Representative
DCOP	Deputy Chief of Party
FAR	Federal Acquisition Regulation
FO	Field Office
HO	Home Office
LOE	Level of Effort
LPTA	Lowest Price Technically Acceptable
OFAC	Office of Foreign Assets Control
PD	Program Director (field based)
PO	Purchase Order
POA	Partners of Americas
PRF	Purchase Requisition Form
RFA	Request For Applications
RFP	Request For Proposals
RFQ	Request For Quotation
SSM	Source Selection Memo
UEI	Unique Entity Identifier
USAID	United States Agency for International Development
USDA	United States Department of Agriculture
USDOL	United States Department of Labor
USG	United States Government
VP	Vice President



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1. Purpose

The purpose of this policy is to ensure the highest level of procurement integrity is consistently observed throughout Partners of the Americas (POA) while acquiring goods, supplies and services. The procurement policy is to prevent conflict of interest, facilitate open and free competition, ensure that cost analysis is conducted and that all contracts include clauses that protect the organization contractually, and provide for legal remedies where it is applicable. All procurements must comply with the Procurement Standards in [2 CFR 200 Uniform Guidance Section 200.318](#), which can be summarized generally as follows:

- 1) The purchase complies with POA's documented procedures,
- 2) Purchases are necessary,
- 3) Open competition (to the extent required by each method),
- 4) Conflict of interest policy applies, and
- 5) Proper documentation is retained for all purchases.

Consideration should be given to consolidating or breaking out procurements to obtain a more economical purchase. Where appropriate, an analysis must be made of lease versus purchase alternatives, and any other appropriate analysis to determine the most economical approach. When possible, POA should use federal excess and surplus property in lieu of purchasing new equipment and property to reduce project costs. Additionally, to the extent possible, POA engages in affirmative efforts to utilize small businesses, minority owned firms, and women's business enterprises. Pursuant to the [Federal Acquisition Regulations](#) (FAR), POA is required to promote and provide for competition to the maximum extent practical. Therefore, POA, and its clients, benefit from fair and reasonable prices.

All procurements under federal contracts must comply with the following FAR clauses Part 6 Competition Requirements, Part 12 Acquisition of Commercial Products and Commercial Services, Part 13 Simplified Acquisition Procedures, Part 15 Contracting by Negotiation, Part 16 Types of Contracts, along with the related provisions and clauses in FAR Part 52 procurement of goods and services.

All procurements made by POA must:



- 1) Be necessary, at a reasonable cost, documented, not prohibited by law or the applicable funding source, and made in accordance with this Policy.
- 2) Avoid acquiring unnecessary or duplicative items.
- 3) Engage responsible vendors who possess the ability to perform successfully under the terms and conditions of a proposed procurement. POA shall consider vendor integrity, policy compliance, past performance record and financial and technical resources.

POA shall to the maximum extent practicable:

- Acquire commercially available items that meet the needs of POA;
- Require prime contractors and subcontractors to incorporate commercially available items as components, to the maximum extent feasible;
- Use specifications that enable and encourage bidders to supply commercially available items;
- Buy local when possible. POA should ensure that local companies are considered for our solicitations; and
- Verify the source and origin of goods and services and ensure (as much as possible) that POA not procure, or permit the transit of, any goods or services from or through Prohibited Countries such as [Office of Foreign Assets Control](#) (OFAC) sanctioned countries.

The overall purpose of procurement regulations is to ensure that POA gets the highest quality of desired goods and services at the best possible price. Further, the regulations are aimed at streamlining the process of procurement while maintaining adequate controls. These procurement procedures apply to all staff involved in the procurement process and to all types of acquisitions of goods and services. For U.S. Agency for International Development (USAID) funded projects, Program Team must comply with restrictions related to ineligible, restricted, source, nationality, origin, and geographic codes.

Any such acquisitions shall utilize the maximum possible competition consistent with POA's interest and maximum transparency. Inconsistent practices, such as unreasonable qualifications, unreasonably short time frames to submit bids, unnecessary expenses, excessive bonding, or arbitrary actions, shall not be utilized. Contracts are awarded to bidders whose offer conforms to

the solicitation and is the most advantageous to POA given the procurement process selected. Program management and the Procurement Team should plan for their procurements. Short timeframes to complete procurements pressure the Procurement Team to eliminate necessary steps in the procurement, which is not acceptable.

The processes below outline POA's procedures and the necessary documentation for procurement. All copies of procurement documentation must be filed with the respective finance department whether home office (HO) or field office (FO). For HO, POA thresholds match the U.S. government's [Federal Acquisition Regulation](#) (FAR). For FO, POA has elected to maintain relatively low procurement thresholds in order to better control procurement activities in very challenging countries. Each country's [supplemental manual](#) defines the threshold taking into consideration the country context, corruption and other risk factors.

1.1 Definition of Positions

Throughout the procurement policy, the following positions will be referenced. Please note these are summary titles for the below positions.

- **VP/HO Director/Chief of Party (COP)/Project Director (PD)** – This is the individual responsible for the entire procurement process based on their delegation of authority threshold. This can include associate directors, Deputy Chief of party (DCOP), and others who have authorization to oversee procurements up to a certain designated threshold.
- **F&A Director** – This individual is the person responsible for all the finance operations and internal controls. This can include the following positions as applicable for each particular program/unit: Operations Director, Finance Manager, Admin Manager, or Admin & Finance Assistant/Manager.
- **Compliance Team** – This is the home office compliance team who is responsible for spot checking and auditing the entire procurement process, and answering any questions on this policy.
- **Procurement Team** – This is the program/unit that is responsible for overseeing a particular procurement.

- **Procurement Lead** – This is a member of the program/unit that is responsible for managing and implementing the entire procurement process. They also ensure all new goods are added to the inventory listing at the time of purchase.

2. Management of Procurement

The framework below describes the roles and responsibilities of each individual as it relates to the procurement of goods and services.

2.1 Overall Management

In HO, the Vice President (VP) and/or HO Director of each unit is responsible for overseeing procurements based on their dollar value [delegation of authority](#). In the FO, the Chief of Party (COP)/Program Director (PD) is responsible for overseeing procurements based on their dollar value delegation of authority. If the procurement exceeds the respective authorized amount, it is overseen and approved by the Country Office Director (if applicable) or HO. Please reference [POA's Delegation of Authority Policy](#) for current delegations. These positions are responsible for ensuring compliance to this policy, assigning adequate resources to ensure segregation of duties, and that all procedures are followed, to avoid putting POA at any financial or audit risk. Furthermore, they are responsible for POA procurement activity and shall ensure that awards and purchases are made only to contractors and suppliers with demonstrated ability to perform successfully under the terms and conditions of a proposed procurement.

All staff are responsible for submitting procurement requisitions for goods that are complete and include sufficient information to permit the timely execution of all process steps. All staff are responsible to ensure that all procurements, regardless of value, maintain appropriate separation of duties when requisitioning, approving, receiving, paying for, and inventorying goods and services. The Procurement Lead is responsible for ensuring this policy, all supporting procedures and work instructions are followed to ensure the integrity of all procurements.

2.2 Record Retention Management & Documentation

Each respective finance office (HO or FO) must maintain records detailing the history of procurements, including the rationale for the method of procurement, selection of contract type,

bid evaluation process, bids received, and the basis for the contract price. The F&A Director is responsible to ensure timely payments to vendors, in accordance with the terms and conditions of the agreement, and that the payment request form includes copies of all the supporting procurement files accordingly. Records must be maintained in accordance with the [POA's Record Retention Policy](#). Field offices should reference their [country's respective supplemental manual](#) as well to verify local record retention requirements.

2.3 Managing Issues with Procurement

The VP/HO Director/COP/PD shall be responsible for settlement of contractual and administrative issues arising out of procurements and shall develop procedures to handle and resolve any disputes relating to procurements. The Compliance Team and Chief Finance Officer (CFO) shall intervene if the program team cannot resolve the issues.

2.4 Management of Selection Criteria

The Procurement Team shall be responsible to develop and maintain written selection criteria for procurements.

2.5 Budget Management

The F&A Director is responsible for ensuring that adequate funds exist in the project budget for all approved procurements.

2.6 Internal Audits

Random audits of POA procurements are conducted by the Compliance Team based in the HO. Results of these audits are reported to the CFO.

2.7 Inventory Management

F&A Director is responsible for ensuring goods are recorded in the projects inventory management system. They will annually audit inventory, dispose and/or transfer inventory as approved, and report timely inventory reports.

3. Ethical Code of Conduct

Care must be taken to avoid the intent and appearance of unethical practice in relationships, actions, and communications. All procurement activities conducted on behalf of POA must be in compliance with the standards outlined in federal, state, local laws, and POA's policies. When conducting procurement including but not limited to purchasing goods and services, awarding contracts and grants, or the administration and supervision of contracts, POA must adhere to the following code of conduct.

v3.1 Checks and Balances

Separation of duties throughout the procurement process must be strictly enforced. At the minimum, for any one procurement action, the person initiating the procurement request and managing the invitation for quotation, bids, or tenders, must be different from the person approving the procurement and signing the contract. It is advisable to have people from outside of the team on the Evaluation Committee.

3.2 Confidentiality

POA staff participating in a procurement process must not disclose information related to provider quotes, bids/proposals, or other sensitive information to any co-worker without a specific and articulable need to know. Disclosing any non-public information related to procurement to any third party is strictly prohibited.

3.3 Conflict of Interest

A very common risk situation related to ethics in procurement is the risk of a conflict of interest. A conflict of interest can be defined as a direct or mutually exclusive clash between the interest of POA and the private or personal interest of a POA employee, representative or affiliate. POA defines a procurement conflict of interest as any situation where a provider may be perceived to be shown unfair favoritism due to a relationship or other connection to an employee, representative or affiliate. A conflict of interest results when an employee, representative or affiliate personal interests interfere or appear to interfere with the proper performance of his or her professional functions or obligations to POA. Within the procurement environment, a conflict of interest may arise in connection with private interests such as, personal investments and assets, employment

after retirement from POA, or the receipt of a gift that may place the individual member in a position of obligation. A conflict of interest may also arise in situations where an individual member is seen to benefit, directly or indirectly, or allow a third party, including family, friends, or someone they favor, to benefit from the member's decisions. There are three types of conflict of interest that could occur in the procurement environment.

- **Actual conflict of interest** - when an individual member is in a position to be influenced by their private interests when doing their job.
- **Perceived conflict of interest** - when an individual member is in a position to appear to be influenced by their interests when doing their job.
- **Potential conflict of interest** - when an individual member is in a position where they may be influenced in the future by their private interest when doing their job.

In the context of procurement, a procurement member should:

- Declare potential conflict of interest.
- Not use information obtained during their professional duty for personal profit.
- Disclose and dispose the financial interest involved.
- Withdraw from any procurement process where he/she may have a conflicting interest.

POA takes a rigorous, transparent, and forceful approach to identifying and preventing such conflicts. It is the individual and non-delegable responsibility of every employee, representative and affiliate to disclose potential conflicts of interest to their supervisor or another appropriate member of management. Where possible, potential, and actual conflicts of interest will be mitigated with an appropriate and effective mechanism without disqualifying any bidders, but where the integrity of the process demands otherwise, the POA will not hesitate to disqualify problematic bidders or re-compete procurements.

Examples of conflicts of interest may include, but are not limited to:

1. **Financial conflicts:** A conflict where a POA employee, representative or affiliate involved in a procurement has a financial interest in a potential provider/bidder.



2. **Personal conflicts:** A conflict where a POA employee, representative or affiliate involved in a procurement has a friend or family member who works for, or otherwise has an interest in, a potential provider. Family member includes spouse, children, parents, grandparents, grandchildren, siblings, and siblings' immediate families including their spouses and children.
3. **Employment offers:** A conflict where a POA employee, representative or affiliate involved in a procurement has a job offer, or was a former employee of a potential provider.
4. Any other fact or situation where there is a division of loyalty on the part of the employee, representative or affiliate between POA and a potential provider.

Employees, representatives, and affiliates are responsible for disclosing known or suspected conflicts of interest. If an actual or perceived conflict of interest is identified, the provider is not necessarily or automatically excluded from competing for the procurement. But appropriate mitigating actions need to be in place before the potential bidder can be considered as qualified. The conflict must be clearly documented in writing and the employees, representatives, and affiliates with the actual or perceived conflict must recuse himself/herself from any process related to the procurement, including source selection, contract execution or payment approval/process. Perceived or actual conflicts must be disclosed to the VP/HO Director/COP/PD or their designee, who makes the final decision on appropriate mitigating actions, required which could include exclusion of the potential bidder.

Suppliers or Service Providers who are family members or have close relations with individuals working for POA are required to clearly indicate, on the front page of their bids, the name(s) of the person(s) to whom they are related to in POA. Failure to do so may lead to the disqualification of the specific bid. This restriction must be included in the RFQ/RFPs.

3.3.1 Conflict of Interest Declaration

POA's standard practice to have individuals involved in the procurement process, sign, in advance of their duties, a declaration of no [conflict of interest and statement of confidentiality](#). Honesty,



truthfulness, impartiality, and incorruptibility must always be applied whenever a conflict of interest, or the appearance of conflict of interest, arises in the course of conducting procurement.

All staff will be required to sign a [conflict interest and statement of confidentiality form](#) upon hire and annually thereafter. All staff will sign the conflict interest and statement of confidentiality form in PandaDoc. In HO the human resource department will ensure all staff sign upon hire and annually after. For the FO the COP/PD is responsible for ensuring these forms are signed at hire and annually after.

In addition to the above requirement, for procurements at or above the respective competitive proposal threshold ([reference Section 7](#)), POA will require any staff members participating in a formal evaluation committee to signed [conflict interest and statement of confidentiality form](#) in regard to the specific procurement. The Procurement Lead will be responsible for ensuring the evaluation committee member sign the required forms.

3.4 Gratuities from Suppliers

POA employees, representatives and affiliates are prohibited from soliciting or accepting money, loans, credits, entertainment, favors, services, gifts, or other incentives from current or prospective suppliers, that could induce, or be perceived to induce, the individual to take any action that is other than independent or impartial. As a rule, POA employees, representatives and affiliates cannot accept any honors, decorations, favors, remuneration or gifts from any sources. Such gratuities, even if of seemingly low value, can give rise to a conflict of interest or the appearance of a conflict of interest. In particular, employees, representatives and affiliates should never accept gratuities from a current or prospective supplier that has submitted or may submit a bid for a POA contract for which a bid solicitation is being contemplated, developed, or is actively accepting bids. If refusal of honor or gift will cause embarrassment to the giver or POA, then POA employees, representatives and affiliates can accept on behalf of our organization, the item shall be turned over to the CFO. The CFO will in turn keep the President & CEO informed of these items, along with a plan for use or disposal.

3.5 Free and Open Competition

In all procurement processes POA encourages free and open competition to maximum extent possible. To ensure procurements are free and open, POA requires the following:

- Reduce unfair competitive advantage – which means vendors who help develop statements of work are barred from bidding on that work.
- Create clear evaluation criteria – which means solicitations should clarify the criteria POA will use to evaluate bids.

As permitted by law, policy, or regulation, POA may pursue appropriate legal, administrative, or disciplinary action against an employee, officer, director, volunteer, vendor, or vendor's agent who is alleged to have committed, has been convicted of or pled no contest to a procurement related offenses. If said person has been convicted, disciplined, or pled no contest to a procurement violation, said person shall be removed from any further responsibility or involvement with grants management, procurement actions or bids.

3.6 Splitting of Procurements

Projects must not artificially “split” purchases to avoid POA and donor approvals; this represents a significant risk and is an unsound business practice. Each procurement is defined as a separate transaction under the following conditions:

- The procurement is not part of a larger known requirement, and not artificially limited to a dollar threshold to avoid POA or donor approval.
- Each procurement is for a discrete scope of work with independent requirements.
- The procurement does not anticipate additional work in the future.
- The rationale for the size of the procurement is clearly documented. Given the above, there is no concern about or need to aggregate dollar amounts for transactions with a single vendor or organization and then seeking donor approval based on the cumulative amount.

3.7 Brand Name

Procurement cannot include brand, model names, or overly specific specifications, as they create barriers to competition. If a brand name is stated, it must also include language that allows a “similar” product to be included, in order to not restrict competition.

4. Potential Corrupt Procurements

Fraud and corrupt activities in POA procurement activities are not tolerated. Any employee or consultant performing any action that is considered fraudulent may be terminated immediately. Fraud and corrupt activities include:

- **Bribery:** Payments in cash or in kind made to individuals or their friends, family, or partners to buy their support for a supplier or a contract negotiation. Bribes can occur before, during, or after (kickbacks) award of a contract.
- **Coercion:** Threats made against, or pressure put on individuals with the same objective as bribery – to gain support for a supplier or contract negotiation. The difference is that whereas bribery aims to motivate individuals with what they can gain, coercion aims to motivate through the fear of what they might suffer or lose.
- **Extortion:** Asking for a bribe or similar illicit payment. This may or may not be accompanied by a menace.
- **Favoritism:** Also known as nepotism, in which individuals give undue preference or negotiating advantage to a supplier who is a friend or part of the same family.
- **Illegal sourcing:** Suppliers offer goods or services misrepresented or produced illegally or immorally. Stolen and black-market supplies are further examples.
- **Traffic of influence:** The exchange of an award of contract (or support for the award) for a favor or preferential treatment by the other party of another individual or organization.

4.1 Reporting Potential Corrupt Procurements

If an employee witnesses potential or actual corrupt practices, that employee must report this issue to POA COP/PD or HO within 24 hours. All individuals are protected from repercussions by our [Whistleblower Policy](#). Employees should contact COP/PD and the HO Compliance team if they

have concerns about any part of procurements. Contact the Compliance Team at compliance@partners.net on any matters concerning possible corruption. If the concerns are about these individuals or the employee does not feel comfortable reporting to any member management, then employee can contact the third-party confidential hotline managed by Foster Thomas to report the concern at +1 (443)-951-4951. Foster Thomas then files the concern to the appropriate member of Senior Management, Compliance team and/or the ethics committee of the Board of Directors depending on the nature of the concern and parties involved.

POA has a Zero Tolerance policy on corrupt activities. Any employee found to be intentionally involved in corrupt activities, or to have known about corrupt activities and failed to notify management immediately, will be terminated.

5. Procurement Process Workflow

The following is a detailed explanation of each step in the procurement and its requirements. Please note not all procurement types require each step to be completed. Please refer to [Section 7](#) to determine which steps are necessary based on the expected dollar value of the procurement. As the procurement amount increases, the amount of documentation also increases.

5.1 Step One: Drafting Specifications and Scopes of Work

The scope of work (SOW) and/or specification are critical in the acquisition process. They describe the work to be performed, the services to be rendered, the goods to be purchased, the desired results, they define the respective responsibilities of the project and the contractor, and they provide an objective measure, so that both the client and the contractor will know when the work is complete, and payment is justified.

The SOW or specifications must be precisely worded because it will be read and interpreted by a variety of people, such as attorneys, acquisition personnel, cost estimators, accountants, and technical specialists. The SOW or specifications must be detailed and provide the relevant characteristics of the good or service. Ambiguous scopes of work often result in unsatisfactory vendor performance, delays, disputes, and higher contract costs. The SOW or specifications determine the type of contract that is awarded, it influences the number and quantity of proposals

received, and it serves as a baseline against which to evaluate proposals, and later, vendor performance. The SOW or specifications are a key element in shaping and directing all three stages of the acquisition cycle: pre-solicitation, solicitation and contract award, and post-award administration.

In the pre-solicitation phase, the SOW or specifications establish the parameters of the project's requirements so that the Technical Lead can determine the best way to accomplish them. Therefore, the SOW or specifications must articulate objectives of the activity. It must also establish actual minimum requirements for performance of the proposed work.

In the solicitation and award phase, the SOW or specifications are the tool that communicates the requirements of the project to prospective bidders. At this stage, the SOW or specifications provide guidance to the bidders on the content of their technical proposals. When a contract is awarded, the SOW or specifications become part of the agreement between the two parties, stating what has been offered by the proposer and accepted by POA. The SOW or specifications define the work to be done, including tasks the vendor must undertake, types or stages of work, sometimes the number and type of personnel, sequence of effort, and reporting requirements. The SOW or specifications must also establish a guide for technical evaluation of the proposals. Both the bidder and the evaluation need a list of factors that clearly state how the project will evaluate the offers.

At the post-award stage, the SOW or specifications provide the mechanism for defining the work or products that are to be produced and the deadlines for producing them. To be effective at this stage, the SOW or specifications should provide a guide for monitoring the progress of work by specifying what products should be delivered or tasks accomplished at specific times during the contract. The SOW or specifications also should describe the products to result from the work effort and set the standards of performance. Deliverables included in the SOW, especially for fixed price efforts, should be tangible and provide benefit to the project. When deliverables are events proof of deliverable should be in the form of attendance sheet, photos, meeting notes, etc.

The list below are key items to potentially include in a SOW or specification:



- Functional Specification (for goods) - A functional specification defines the function, duty, or role of the good. A functional specification should include what the item is to be used for; a descriptive name that is understood by the supplier and purchaser; and a reference to one or more makes and models that would be acceptable.
- Performance Specifications (for goods) - Performance specifications are used when the buyer wants the seller to be more responsible for user satisfaction. A performance specification should include what the item must be able to do; a description of the measurable performance of the item; and the features of qualities desired.
- Design Specifications (for goods) – Design specifications are also called production or engineering specifications. They are best suited to complex assemblies or items which need to be tested during production or before leaving the factory. Design specifications should include: a very detailed description of the technical and physical characteristics of major parts and/or materials; reference to all pertinent national and international standards; and when relevant an explanation of where and by whom components need to be submitted for approval, inspected, or tested.
- Level of Effort SOW (for services) – Level of effort (LOE) SOWs specify ceiling amounts of LOE which could not be exceeded. If the work is not completed, but all the LOE has been used, the remaining work would have to be rebid through a new competitive process. This SOW is stated in general terms, usually in terms of an objective or target to be accomplished and the contractor agrees to provide specific inputs, usually in work months or days, for a stated period.
- Completion SOW (for services) – A completion SOW defines specific outputs, tasks in segments which can be defined with sufficient accuracy to permit the development of estimates within which prospective contractors could reasonably be expected to complete the work. If the work is not completed within the allotted period, the contract could be extended if funds were still available.



5.2 Step Two: Purchase Requisition Form

A written [purchase requisition form](#) (PRF) is required for all small purchases, competitive proposals, and sole source procurements over a certain threshold ([Reference Section 7](#)). All procurement requests shall be for justifiable project expenses, within budget, and in direct support of project operational or technical needs. Procurement methods are determined by the expected cost of the procurement that is documented in the PRF.

The initiator of the request must complete the [PRF in PandaDoc](#). The PRF is first be approved by the HO Director/COP/PD, then the F&A Director, and lastly if required by the unit Vice President/Country Office Director and/or President & CEO. The HO Director/COP/PD is responsible for reviewing the request and ensuring that the good or service is necessary for the project and that the expected award value is appropriate. The F&A Director is responsible for verifying there is a budget for the required procurement. The unit Vice President/Country Office Director and/or President & CEO provides authorizations for large purchases above the HO Director/COP/PD's approval threshold. The Compliance Team will be copied on the PRF and spot check to flag any potential issues (i.e. restricted commodities which may need prior approval and or waivers, wrong procurement method selected, wrong source selection selected, etc.).

The PRF serves to provide the following:

- *Define good or service required* – the requestor must provide a description of the good or service being requested (including required details such size, any technical specifications required, etc.), quantity, unit, currency, estimated cost per item based on the current market rate, desired delivery date and location. Brand, model names, or overly specific specifications may not be used, as they create barriers to competition. Reference [Section 5.1](#).
- *Establish estimated cost* – the requestor must establish an estimated procurement value based on market research and conducting a cost analysis. If applicable, the cost estimate will be converted from local currency to USD using the exchange rate on the day of PRF request.
- *Secure approvals*



- *Confirm good/service is included in Program Budget* – F&A Directors are responsible for reviewing the PRF and making sure that adequate funds are available in the budget before approving requisitions. If it is an emergency and not in current budget, then written approval must be secured from CFO.
- *Confirm good/service is appropriate and necessary* – HO Director/COP/PD are responsible for reviewing the PRF and making sure they are essential and appropriate for project implementation (either operations or technical).
- *Establish a delivery date* - the period of performance for services and a delivery date for goods must be included.
- *Identify restricted and ineligible goods/services* – the PRF must indicate if the project needs approvals and/or waivers from the donor.

Once the Procurement Team receives a PRF they must:

1. Review the requisition for completeness and determine if any changes or additional information is required. If changes are made, the PRF will need to be resubmitted for approval.
2. Review if the item is already in stock.
3. Review if the estimated cost is accurate, based on market rates.
4. Review if this is a request for an ineligible or restricted goods or services.

5.3 Step Three: Determine Approval Process

Based on the expected total value of the procurement on the PRF, it'll determine the necessary approval process for the PRF. For current delegation of authorities, HO should always reference the [delegation of authority policy](#) and the FO should reference the appropriate [country supplemental manual](#).

5.4 Step Four: Market Research

Market research is the process of collecting and analyzing information about industry sector capabilities and overall market supply. It helps to identify goods, services, and vendors, assists in the development of technical specifications, terms of reference, scope of work, and allows the

collection of product and pricing information on available technology, solutions, etc. Market research demonstrates the efforts taken to identify the availability of qualified vendors and also the evidence of commercial availability of items or services. Market research can be done through the use of external and/or internal sources. The evidence of market research may include screen shots, PDF, or photos of the market research conducted. These are examples of market research methods:

- Receiving subject matter experts inputs and suggestions
- Published price lists or catalogs, including online sources
- Directories
- Professional references
- Surveys taken by exploring the marketplace
- Previous procurements
- Attending trade associations meetings
- Vendor conferences
- Pre-Solicitation Expressions of Interest

Furthermore, care should be taken to ensure that small- and medium-sized enterprises, not-for-profit, minority-, women-owned businesses, and/or disability-inclusive suppliers are not excluded from the market research. Due consideration should be given to communication channels in the local language(s) to reach this specific audience and ensure effective competition. Market rates can be established by maintaining quotes on files for regularly purchased goods and services or by calling around to various vendors and establishing a range price. Note that updated market rates are needed at a minimum every 6 months. Market research is only required for FO procurements valued at \$50,000 USD or more. Market research is required for all HO procurements above the simplified acquisition threshold.

5.5 Step Five: Issue RFP/RFQ

All solicitation RFQ/RFPs must be created using the POA template for [RFP](#) and [RFQ](#). Add a minimum all [RFQ/RFPs](#) must contain the following:



1. Specifications, scope of work or technical requirements for the goods or services to be purchased which must be clear and accurate and does not contain factors which unduly restrict competition.
2. Include any branding or marking requirements in accordance with the Prime Award.
3. If procuring goods, vendors/suppliers will be asked to provide origin information and a certification stating that none of the equipment or any of its parts were manufactured, produced, or assembled in, or transiting through a prohibited country.
4. Criteria to be used in evaluating bids, which cannot be changed once the RFQ/RFP is released. The solicitation must identify all requirements which the offerors must fulfill and all other factors to be used in evaluating bids or proposals, and this must be the same criteria that the Procurement Team uses to evaluate all bidders. The criterion for selecting a good or service provider could be price, capacity to deliver on time, quality of output, past performance where applicable, etc. Weighted rankings can be used, but if no ranking criteria is documented, price will be the sole determinant.

If weighted criteria is used for bid evaluation must be documented by the procurement lead and approved by F&A Director or the Compliance Team. The relative weighting of each criterion must be established and the relative weight of the technical versus financial criteria must be established. The following set of criteria may be used for deciding on choice of vendors:

1. Price
2. Quality of goods/service (needs justification)
3. Availability of goods/services within the required delivery time
4. After sale services, including availability of parts/supplies
5. Bidder's previous records of performance and service
6. Ability of bidder to render satisfactory service
7. Payment terms
8. Warranty offered
9. Ability to provide samples.



10. Not on excluded parties list on SAM.gov
11. Minimum acceptable performance standards.
12. Specific features of required items or services.
13. Must include the following disclosure: *Any bidder feels that they have been treated unfairly or unjustly, they may submit a complaint or protest to Partners of Americas Compliance Team at compliance@partners.net. You may request confidentiality on your request.*

The Procurement Team can contact potential bidders and send RFQ/RFPs to those bidders, however, this does not relieve the requirement to publicly announce the RFQ, unless exception is stated. If additional information is released, it should be made available to all bidders. As part of the RFQ/RFP it must establish a process for potential bidders to ask questions. All questions posed to POA, and the answers must be distributed to all bidders. The best mechanism is to establish a date that questions must be submitted by, then all bid questions and answers can be shared to all bidders.

5.5.1 Restricted Bidders RFQ/RFP

Procurement Team may execute an [RFP](#) and [RFQ](#) limited in some manner, ex. geography. The limitations must be documented and justified in the [Source Selection Memo](#). Potential bidders should be solicited from as wide geographic region as feasibly possible.

5.6 Step Six: Advertising

RFQ/RFPs must be publicized and identify all evaluation factors and their relative importance. All competitive proposals required distribution either via public advertising or vendor distribution list.

Vendor distribution lists are often used when there is a limited number of responsible vendors in the market for that particular good or service, when the Procurement Team expects that there be adequate price competition among vendors, and when they will compete independently. If a vendor distribution list is utilized, POA requires that a minimum of six vendors receive the RFQ/RFP. This helps ensure that POA will obtain a minimum of three qualified bids. If there is only a limited number of vendors in the market (e.g. oligopoly market conditions) and/or the Procurement Team

has not been able to otherwise identify the minimum required number of invitees despite adequate market research, this should be clearly documented and explained in [source selection memo](#).

Public advertising is often used to ensure adequate price competition and transparency or when it is common practice for that industry. Procurements that are publicly advertised must be published and acceptable media format or website. RFQ/RFPs should be advertised or distributed as appropriate, in a manner that would lead to the most beneficial responses according to the nature and circumstances of the required product, such as announcements on local or regional radio, advertisement on websites of other organizations, in local or regional newspapers, or in specialized journals. Bids should be made public based on the required timeline as follows:

Home Office	
Estimated Contract Value	Posting Period Required
\$250,000.00 - \$500,000.00	Minimum five (5) Business Days
\$500,000+	Minimum fifteen (15) Business Days

Field Office	
Estimated Contract Value	Posting Period Required
\$10,000.00 - \$50,000.00	Minimum five (5) Business Days
\$50,000+	Minimum fifteen (15) Business Days

POA can extend the advertising, if necessary, but should not extend beyond 30 business days.

There are approved exceptions to the advertising requirement:

- **Lodging:** can be performed by market survey and documenting options that meet program criteria.
- **Airfare:** can be performed by market survey and documenting options that meet program criteria. If airfare is purchased with USG funds, the airfare must be compliant with the Fly America Act.

5.7 Step Seven: Submission of Written Quotes/Proposals

As best practice, POA requires that all procurements collect a minimum of three written quotes from qualified vendors. In the absence of three quotes or proposals, then a clearly documented in



the [source selection memo](#) for justification demonstrating that efforts were taken to obtain three quotes or proposals must be prepared and submitted as part of the procurement documentation. Under no circumstances shall the Procurement Team disclose any information about the bids to other POA staff or persons outside POA prior to the bid close date.

POA allows submissions to be either hard copy or electronic. However, electronic submissions are preferred. All submissions must meet the following requirements.

For hard copy submissions:

1. All proposal responses shall be sealed, and received and stored by the F&A Director, DCOP, VP/HO Director/COP/PD in a secure location until evaluation is conducted. Bids emailed to POA shall be opened at the same time as the opening of sealed bids and printed for the Procurement Team.
2. Stamp the date and time that the proposal(s) were received.
3. Any proposals received that are not sealed must be returned immediately to the vendor to seal before the project may accept it.

For electronic submissions:

1. The Procurement Team is required to set-up two distribution lists at the start of a procurement. For the creation of a new distribution list, the Procurement Team should e-mail FSI Strategies at support@fsistrategies.com with a copy to the CFO, Debra Cooper at dcooper@partners.net with the distribution list title and the emails that should be included in the list. One distribution list will be created for questions, answers, and other communications with the bidders, and the second to receive solicitation responses. Please see distribution list set-up and access controls below:

Example Account name	Purpose	Access Controls
Procurement_PROJECT NAME@partners.net	To send anonymously solicitation materials to interested vendors, to receive or answer questions	Limited to procurement lead and/or a limited number of Procurement staff members.

Submissions_PROJECT NAME@partners.net	To receive solicitation responses	Limited to F&A Director and VP/HO Director/COP/PD. Procurement lead and technical staff should not have access.
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2. The secured and restricted emails containing final bids/proposals must remain unassessed and responses unopened until the deadline has passed and an established date for opening responses has been achieved. Once the bid submission deadline has passed, the final bids may be distributed to the evaluation committee members.
3. The Procurement Team should set-up for folders for each solicitation and store all outgoing/ incoming emails in that folder.

If a bid is received after the close date for the RFQ/RFP, the bid will be disqualified unless there is an exception made. Exceptions can be considered but will require approval from Compliance Team. Bids received and accepted after the bid close date must be explained in a justification memo which will be sent to the Compliance Team for final signature and approval.

5.8 Step Eight: Cost/Price Analysis and Negotiation Memo

For all procurements, including contract modifications, in excess of the Simplified Acquisition Threshold (currently \$250,000 USD), POA must perform a cost or price analysis and document budget negotiations in a [Negotiation Memo](#). Price reasonableness is a determination that the total price awarded is fair and reasonable. Price analysis is the process of examining and evaluating a proposed price without evaluating its separate cost elements and proposed profit. Cost analysis provides a review and evaluation of the separate elements of cost (e.g., labor, indirect rates, other direct costs, etc.) to determine if the projected price is fair and reasonable based on the assumptions, and whether or not the proposed cost represents what the cost of the award should be assuming reasonable economy and efficiency. Cost reasonableness is if the amount does not exceed the cost which would be incurred by a prudent person.

To determine a fair and reasonable value, POA must make independent estimates before reviewing bids or proposals and use as a point of comparison during budget negotiations. To establish a fair and reasonable profit, consideration must be given to the complexity of the work



to be performed, the risk borne by the contractor, the contractor's investment, the amount of subcontracting, the quality of its record of past performance, and industry profit rates in the surrounding geographical area for similar work. Costs or prices based on estimated costs for contracts using U.S. Government are allowable only to the extent that costs incurred, or cost estimates included in negotiated prices would be allowable for under [2 CFR 200](#), the prime award, and if under a federal contract, the FAR.

Cost/price analysis can be done using the following techniques:

1. *Comparison of the offered price/cost of the apparent winner to other proposals received.*
The Procurement Lead will create a spreadsheet comparing the prices of all quotes/proposals received in response to the solicitation. If the evaluation team identified a competitive range, show which quotes/proposals are in the range, and explain why the range was selected. If the winning bid is not the lowest price in the competitive range (or the lowest price of all prices if there was no competitive range), then the source selection memo must explain in detail why a higher price was selected and what benefit POA will receive from the higher price. In order to use this technique, there must have been a minimum of three quotes or proposals received. When proposals include separate prices for line items, the same analysis of proposed prices should be done for the major line-item prices. It is possible for the overall total price to be fair and reasonable, but for one or more line-item prices to be overstated or understated. Price analysis will help identify these issues.
2. *Comparison of the offered price/cost of the winner to prices paid by POA for the same or similar purchases.* Create a spreadsheet or table of historical prices, and try to have 3 or more prices to compare. Historical prices should be for the same goods or services, should be "recent" (generally no more than two years old), and should have the same terms or conditions. This method should be used when there is two or less quotes or proposals received. The successful vendor's price should fall within the historical range (given that the Procurement Lead has made adjustments for escalation) and the Procurement Lead should discuss and explain the comparison in the memo. If it does



not fall within the range, then the Procurement Officer must use other analysis techniques or open discussions/negotiations with the vendor.

3. *Comparison of the offered price/cost of the winner with competitive published price lists or published market prices of commodities.* This method when the Procurement Lead has catalogs, other published price lists, or have researched market information and have prices to compare. This method can be used when two or less proposals are quotes or received. After gathering the price list(s) or market price(s), the Procurement Lead compares the current price(s) quotes/proposals with this data. If the bid/quote is within 10% of the lowest price, it can be considered reasonable. If it is not within 10% and there is no obvious reason for the difference, then the Procurement Lead must use other analysis techniques or open discussions/negotiations with the vendor.
4. *Comparison of the offered price/cost of the winner with independent project cost estimates.* If the offered price is within 10% of the project estimate (after adjusting for profit or fee), the Procurement Lead can consider the offered price fair and reasonable.
5. *Comparison of the offered price/cost of the apparent winner with prices obtained through market research.* Market research is any open source, trade information, or similar data as long as it is not produced by the vendor whose price is being compared. Some sources include online vendor searches, advertisements, newspapers, market research conducted prior to the solicitation, vendor conferences, trade association meetings, etc.

POA also needs to document efforts and negotiations with the final vendor to establish fair market value. This cost analysis and budget negotiations needs to be documented in a [Negotiation Memo](#), which is signed by the Procurement Lead. The documentation should also include copies of any supporting documentation for the negotiation process.

5.9 Step Nine: Evaluation Committee

Depending on the source selection method, an evaluation committee may be required. The Procurement Team will need to determine if a full evaluation committee is needed, or just technical reviewers. Please see guidance below:

Evaluation Committee Recommend	Evaluation Committee Not Recommended
<i>Trade Off Methods</i> There is an individual technical evaluation then a joint committee to determine which technical proposal ranks highest. <u>This the source selection method requires an Evaluation Committee.</u>	<i>Lowest Price Technically Acceptable</i> When the acceptability criteria are adequately defined a committee should not be needed and one or two technically qualified evaluators can determine whether proposals “meet” or “don’t meet” acceptability requirements.

Evaluation committees are required when the source selection method is a tradeoff (best value). An evaluation committee is optional when the source selection method is lowest price technically acceptable. Depending on the good or service being procured the Procurement Team might recommend an evaluation committee versus just technical reviewers for this source selection method.

If an evaluation committee is not required, the Procurement Team will determine which technically qualified staff could review the bid matrix and provide technical feedback on whether the offers meet the specifications or scope of work outlined in the solicitation. A minimum of two reviewers must complete the evaluation matrix and sign. All evaluators must sign a [Conflict of Interest & Statement of Confidentiality form](#) prior to participating in the evaluation confirming that they have no conflict of interest with the procurement.

If an evaluation committee is required, the Procurement Team will identify potential evaluation committee members. A committee is formed based on the value and complexity of the procurement, or when a technical proposal must be evaluated for quality. The evaluation committee can be minimal consisting of three team members, or it can be more involved with five



(5) members meeting to review and evaluate bid documents. All evaluation committee, members must sign a [Conflict of Interest & Statement of Confidentiality form](#) prior to participating in the evaluation committee confirming that they have no conflict of interest with the procurement. The evaluation committee shall include at least one individual from an administrative area of the program, one from Finance Department, one from the programmatic team requesting the goods or service and one Procurement Team member as observer without voice and vote. The evaluation committee selection should use the following guidelines:

- ***Non-Voting Chairperson (1):*** Procurement lead or VP/HO Director/COP/PD.
- ***Evaluation Members minimum of three (3) members:*** The POA evaluation committee shall be composed of program and management representatives serving as qualified technical or financial reviewers.
 - At least two of the committee members should possess relevant and qualified technical expertise.
 - One member of the committee should be a finance team member to advise on cost matters and assist in determining price reasonableness and realism.
 - For grants where the grantee is contributing a portion of the costs, the grantee could be included on the evaluation committee.

Each member is responsible for doing his or her part to ensure that the process is impartial, fair, and in accordance with POA 's policies and procedures. If several procurements in the same technical area and region are anticipated, committee membership should be rotated whenever possible and practicable to avoid having the identical committee.

Before an evaluation committee meeting, the procurement lead will be required to do the following:

1. Ensure all evaluation/selection committee members have signed and dated the [Conflict of Interest & Statement of Confidentiality form](#) which certifies that the individual has no relationship that could affect their impartial and objective evaluation.



2. Provide training on roles and responsibilities to new evaluators before they participate in an evaluation or selection process. The training addresses conflict of interest, compliant evaluation process, evaluation/selection criteria, and any other relevant issues.
3. Ensure members understand the procedures properly for handling of bids, the information contained therein and can participate on the evaluation committee in an objective and impartial manner.
4. Inform members that they are not allowed to share copies of the bid, the names of the bidders, or any information associated with the evaluation with anyone or amongst themselves.
5. Distribute the procedure for conducting the evaluation based on the source selection method. It's important to have clear guidelines for evaluating quotes or proposals, to ensure that committee members are evaluating each bid with the same scoring methodology.

Once the above steps have been completed, the full evaluation committee will meet to:

1. Confirm all members have signed the [Conflict of Interest & Statement of Confidentiality form](#)
2. Review bid instructions, evaluation criteria and guidelines for scoring
3. Review the specifications for the good or service and the source selection method
4. Review and evaluate bids
5. Sign final evaluation matrix
6. Draft and approve source selection memo

If the selected vendor cannot provide the needed goods or services, the evaluation committee must meet again to revise their selection and determine if a second vendor is acceptable.

5.10 Step Ten: Evaluation Matrix

There must be a [written matrix](#) or method for conducting technical evaluations. All evaluation and award decisions shall be done in compliance with the respective source selection method stated in the solicitation. All bidders will be screened to determine if their technical bid meets the terms of the RFQ/RFP. If the bid does not comply, they are rejected. The remaining bidders that have met



the terms of the RFQ/RFP will be ranked according to the criteria identified in the RFQ/RFP. A comparative table must be created using the appropriate [template for the source selection method](#). **Additional evaluation factors introduced during the evaluation must not be considered. All evaluation criteria must be clearly indicated on the RFP/RFQ.** The [final evaluation matrix](#) must propose their top recommended bidder and be signed by all committee members and approved by the VP/HO Director/COP/PD.

5. 11 Step Eleven: Source Selection Memo

The source selection memo is the summary to the procurement package and guides the reviewer through the procurement process and the rationale behind the selection. The Procurement Team must prepare a source selection memo which includes overview of vendors reviewed, provides the reasons for selecting the vendor, and lists final price. Please reference the [source selection memo templates](#). Each source selection memo must cover the following (as applicable, for each procurement method):

- Background on the procurement – if necessary
- Summary of product or service requirements
- Basis for award (lowest price, technically acceptable, best value, etc.), which must exactly match the selection criteria outlined in the RFQ/RFP. Be specific such as “vendor provided the lowest price” or if there were factors other than lowest price, provide a detailed explanation such as quality, stock, delivery time, etc.
- Evaluation committee members
- Evaluation matrix – comparative chart containing all the relevant bid information
- If less than three quotes or proposals were received, must indicate a reason why the response was limited
- Narrative of the determination process/rational for selection and tradeoff
- Decision statement on final vendor selection
- Statement confirming that the price is reasonable.
 - The Program Team will have to conduct a price analysis either formally or informally. Price analysis is a critical and required part of the procurement process



to ensure that the price awarded is fair and reasonable. Price analysis is the process of examining and evaluating a proposed price without evaluating its separate cost elements and proposed profit

- Statement confirming the vendor is deemed responsible.
 - The Procurement Lead will have to conduct a responsibility determination of the selected vendor. This determination is made by one or more of the following factors as relevant to the procurement:
 - Vendor is not included on any restricted parties list.
 - Vendor has a satisfactory record of integrity and business ethics.
 - Vendor possesses relevant business licenses issued by the host country Government as required .
 - Vendor possesses the ability to comply with the required delivery or performance schedule.
 - Vendor has adequate financial resources to perform the contract
 - Vendor has the necessary technical equipment and facilities, or the ability to obtain them, as relevant.
- If the final price is more than 10% from the original PRF estimated value, include an explanation of the variance.

The standard package of required documents for procurement approval are submitted to the relevant reviewer along with the source selection memo. The memo must be signed by the Procurement Lead and approved by VP/HO Director/COP/PD.

For sole source procurements the source selection memo must include the following:

1. Reason to justify exemption from open competition in accordance with [2 CFR 200.320\(c\)\(1\)](#).
2. Explanation/justification about why only one known source that can provide the commodity or service.
3. Nature and/or description of good/service being approved.
4. A determination that the anticipated cost will be fair and reasonable.

5. Brief statement about how the project determined that the vendor is responsible.

Please reference the [sole source memo template](#). The sole source memo must be signed by the VP/HO Director/COP/PD and approved by the HO Compliance Team.

5.12 Step Twelve: Compliance Vetting

Any recipient of federal funds must not transact or conduct business with any individual or entity that has an active exclusion on the below databases:

1. System of Award Management (SAM) (www.sam.gov);
2. [OFAC's Specifically Designated Nationals and Blocked Persons](#)
3. [United Nations Security Council Consolidated List](#)

To comply with this requirement, all procurements must be checked prior to signing a contract and/or payment (if contract is not required) [Visual Compliance platform](#). This platform searches all three of the above-mentioned databases and more. Proof that the Visual Compliance check was done must be retained and kept along with proof of the payment, prior to disbursing funds to the recipient. The Visual Compliance check must be run at a minimum, once per calendar year (January – December) prior to the first payment of the year in order to be compliant.

5.12.1 Unique Entity Identifier

Applies to subawards, subcontracts, and subgrants only. To be eligible a subrecipient/subcontractor must have an active unique entity identifier (UEI) number prior to signing a subaward/subcontract/subgrant agreement. Applications are free and made through System of Award Management (SAM) (www.sam.gov). Instructions on the UEI process can be found [here](#).

5.13 Step Thirteen: Formal Contract and Cover Sheet

Small purchases, competitive proposals, and sole source procurements that exceed the micro-purchase threshold require a formal contract or agreement with the vendor. Please reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type. [Templates for all contracts by country is found here](#).

Prior to engaging in a contract or agreement on behalf of POA a cover sheet MUST be signed by the VP/HO Director/COP/PD as appropriate based on the [Delegation of Authority Policy](#). The President & CEO will sign cover sheets larger than the VP's or Country Office Directors delegation authority. Once the cover sheet has been signed by the VP/HO Director/COP/PD, it will be sent to contracts@partners.net for review, tracking, and potential reporting requirements. Once the Contracts Department has approved, the cover sheet, will be sent to the Compliance Team for review of procurement documentation. If necessary, the final cover sheet step will be signature by the President & CEO.

All staff should be completing the contract and cover sheet directly in [PandaDoc](#).

5.13.1 Fixed Amount Awards

The value of fixed amount awards (consultants, purchase orders, subawards, subcontracts, subgrants, and subcontracts) must be determined at the start and should not be modified unless there is a change in one of following:

1. Scope of work
 - a. Additional or less deliverables than specified in the original agreement.
 - b. A new sequence of work is imposed on the contractor by a party other than the contractor.
 - c. Work is stopped, disrupted, accelerated, or interrupted by a party other than the contractor.
2. Price – Expansion or reduction of activities
3. Time – delays

Modification must be made in advance of changes being made, not after the fact, and any deviations or exceptional circumstances must be justified and documented. Program Team may provide an installment payment for initial services or payment for a simple but defined first deliverable. To ensure all deliverables are submit, the last deliverable at a minimum must be 10% of the award, however, a higher amount is recommended.

Program Team should consult with the Compliance Team when facing post-award management challenges such as non-performance, corrective actions, disputes, or potential terminations.

5.14 Step Fourteen: Payment Request Form

In order for finance department to process payments to a vendor, approval is required from the VP/HO Director/COP/PD. For HO the approval process will be done in [bill.com](#). HO staff should reference the [training materials on bill.com](#). For the FO, the approval process will be completed via a [payment request form in PandaDoc](#). Payment request forms apply to all purchases made from any POA bank account, Airtm account, PayPal account or Western Union. The payment request form does not apply to purchases made with petty cash or any corporate credit card. For travel reimbursements, field staff will continue to use [Replicon](#) to submit reimbursement request, therefore, they do not require a payment request form.

In [PandaDoc](#), the payment requestor should initiate the [payment request form](#). The form should be routed to VP/HO Director/COP/PD for approval. Once approved, the form will be routed to the Finance Department for auditing and processing. The F&A Director will only make payments on expense vouchers that have been fully approved and include all the necessary supporting documentation. The F&A Director must verify and match up the vendor invoice, supporting documentation, the procurement file, and the signed payment request. While POA is normally exempt from taxes, if POA must withhold taxes in a certain situations, the finance department will be responsible for withholding taxes and remitting the payment to the appropriate tax authorities. All payments must be made in accordance with the contractual terms between the POA and vendor, and POA's financial policies.

FO staff will need to complete the payment request form, attach an invoice, copy of the contract, Visual compliance check, and all other necessary supporting documentation. Please reference the [supporting documentation checklist](#) for this list of necessary documentation for each payment type. These required documents should be uploaded into PandaDoc. Once fully approved, PandaDoc will create a single file PDF of the payment request and all the supporting documentation.

It is important that an invoice or receipt is created by the vendor, not POA. It must include vendor, date, amount, item, and quantity. All invoices shall be stamped “Paid” and written date of payment or attached the wire transfer payment. Sample invoices are available for vendors, if needed.

5.15 Step Fifteen: Certification of Receipt of Goods or Services

The procurement process cannot be completed without certification that the goods and services procured have been received in its entirety to POA’s satisfaction, in particular, to the satisfaction of the requisition. The procedure for receiving goods and services is important to ensure that vendors have met their obligations. Once POA has certified that goods and services have been received to their satisfaction, payment can then be made.

For services, certification of receipt is done upon the supervisor of the contract signing the vendor’s invoice. By signing the invoice, the supervisor of the contract confirms that the services have been delivered in accordance with POA’s requirements and that all required deliverables have been submitted and approved.

For goods the original requestor on the program, or their designate, is responsible for receiving, inspecting, and accepting the goods or services requested, and for ensuring that the goods or services follow what is stated on the purchase order, subcontract, or procurement requirements. The program team must prepare a “goods delivery receipt.” The program team at the time of delivery will facilitate the receiving and checking of goods where the receiving person will have to sign the delivery notes or any other documents during delivery. The goods delivery receipt will be completed on the [PandaDoc template](#). The program team, or their designee, shall ensure that goods are checked against contracts, waybills, invoices, or delivery notes. By signing the goods delivery receipt, the program team or their designee are certifying the following: a physical check was done by the requesting department and not by the procurement office, and any differences between documents and physical checks are noted and reported to the Procurement Team for action.

6. Source Selection Methods

At the start of any procurement process the procurement lead must select the appropriate and useful source selection methods (SSM) based on the type of solicitation to use when procuring good and services. The following are the four SSM options:

Source Selection Methods	
Source Selection Method	Characteristics of requirements
Simplified	Very well-defined specifications.
	Procurement operational suppliers or services required on recurring basis.
Lowest Price Technically Acceptable	Complex or technical solutions is not required.
	Establish the minimum technical criteria to be acceptable
Trade Off (Best Value)	Complex services or goods.
	Comprehensive or innovative technical solutions is required.
	Establish the rating system for the technical factors (support, warranty).
Sole Source	Only one provider can offer good or service
	Must meet requirements of 2 CFR 200.320(c)(1)

6.1 Simplified

The simplified method should be used for basic supplies and services that are reoccurring and well defined. Under this method price is the most important factor. The lowest price provider to offer the good or service must be selected. For “off-the shelf,” standardized goods (such as generators, office supplies, etc.) or goods/services with well-defined specifications/ requirements or when a technical solution is not required. May be used to procure operational supplies or services which are required on a recurring basis. Communication/discussion with bidders can clarify minor administrative details only. Negotiations are typically not utilized under this method.

6.2 Lowest Price Technically Acceptable

The lowest price technically acceptable (LPTA) method should be used for goods and services that are well defined, no complex or detailed/innovative solution required, and where clear criteria can be set for a quote to be valid. The vendor should not propose what the technical solution is, or what product is best to meet an objective, rather, they are simply reviewing the requirements and proposing a price quotation. Minimum technical requirement may include but are not limited to: use, rate, size, output, capacity of device, etc. Often used for accounting/tax services, vehicle purchases, laptops, other electronics, etc. Under this method the procurement lead determines



minimum technical criteria for a quote to be acceptable for programmatic purposes. Minimum technical requirements may include but are not limited to quality of goods/services, availability of goods/services within the required delivery time, after sale services (including availability of parts/supplies), bidder's previous records of performance and service (number of year of experience), warranty offered, U.S. made/manufactured, specific features, and not a restricted vendor. The minimum technical requirements must be necessary for the program, not restrict quotes based on brand name (must allow equal to product), and must not place unreasonable requirements on vendors to intentionally excluded otherwise qualified vendors. Once a vendor has met the minimum requirements, then the selection is made based on the lowest price bidder. Vendors who do not meet the minimum requirements are excluded. Discussions or negotiations may be conducted with all offerors determined to be in the competitive range. Discussions should be tailored to each offeror's proposal with the primary purpose of maximizing the project's ability to obtain whether the vendor can meet the requirements established in the solicitation.

6.3 Trade-Off (Best Value)

The trade-off or best value method is used for less definitive requirements, complex, comprehensive or innovative technical good or services. Use when factors other than cost/price are more important or equally important. In other words, when the importance of the technical approach or other non-cost/price factors outweighs the benefits of selecting a vendor based solely on the lowest cost. Often used when a separate technical proposal is warranted and it is desirable to conduct negotiations regarding the technical solution and activities proposed, delivery time frame and other technical factors prior to award. Typical use includes surveys, studies, evaluations, subawards, subcontracts, subgrants, consultants for technical materials or training, etc. under this method the procurement manager must develop a weighted rating system out of 100 points, on which all vendors are evaluated. The solicitation to vendors to bid must identify all requirements which the offerors must fulfill and all other factors to be used in evaluating bids or proposals. The criterion for selecting a good or service provider could be price, capacity to deliver on time, quality of output, past performance where applicable, etc. If weighted criteria is used for bid evaluation must be documented by the procurement lead and approved by F&A Director or the Compliance Team. The relative weighting of each criterion must be established and the relative weight of the

technical versus financial criteria must be established. Under this method all vendors are evaluated against the weighted criteria and the vendor with the highest point value out of 100 points must be selected.

9.1 Sole Source

Sole source means only one supplier is able to provide the necessary good or service after market research is conducted. Documentation and a justification must be provided in accordance with [2 CFR 200.320I\(1\)](#). Please reference [Section 7.4 Noncompetitive Proposals](#) for additional details.

7. Procurement Types and Methods

POA has established standards by which projects ensure adequate competition, based on procurement thresholds. As such, each of the following procurement value thresholds has a unique set of processes, which increases in complexity as the value increases. POA must use the following matrix to determine the type and method of procurement required. Once the appropriate method is identified, please go to the section for the procurement type and step-by-step process noted in the section below. For conversion from local currency to USD, the exchange rate on the day the [PRF](#) is created should serve as the official USD amount to use for the procurement method, even if the exchange rate fluctuates in the future. New procurements cannot utilize a previous procurement process that has already been completed.

POA procurement awards differ by the estimated value of the procurement. Smaller procurements have lower requirements and can be completed in a few days. Larger the procurement require planning as they may take weeks.

Lack of planning for the procurement process is never an acceptable reason to avoid competition requirements. Similarly, HO cannot sign contracts on behalf of the FO in order to avoid competition requirements. The office that will manage, oversee, and pay the vendor must be the same office (whether FO or HO) that signs the contract and follows the appropriate thresholds below.



Home Office Thresholds					
<i>Procurement Type</i>	<i>Amount Range in USD</i>	<i>Procurement Method</i>	<i>Contract Required</i>	<i>Source Selection Method</i>	<i>Solicitation Type</i>
<u>Micro-Purchases</u>	\$0 - \$10,000.00	No formal procurement needed	No	Lowest Price	None
<u>Small Purchases</u>	\$10,000.01 - \$249,999.99	Purchase Requisition Form, 3 quotes, matrix/evaluation of quotes, & selection memo	Yes	Simplified (means most important factor is price) or Lowest Price Technically Acceptable or Trade Off (Best Value)	RFQ or RFP
<u>Competitive Proposals</u>	\$250,000.00+	Full and open procurement reference guidelines	Yes	Lowest Price Technically Acceptable or Trade Off (Best Value)	RFQ or RFP
<u>Noncompetitive Proposals</u>	No limit	Memo justification on the reason for selection	Only if \$10,000+	Sole Source	None



Field Office Threshold					
<i>Procurement Type</i>	<i>Amount Range in USD</i>	<i>Procurement Method</i>	<i>Contract Required</i>	<i>Source Selection Method</i>	<i>Solicitation Type</i>
<u>Micro-Purchases</u>	\$0 - \$2,500.00	No formal procurement needed	No	Lowest Price	None
<u>Small Purchases</u>	\$2,500.01 - \$9,999.99	Purchase Requisition Form, 3 quotes, matrix/evaluation of quotes, & selection memo	Yes	Simplified (means most important factor is price) or Lowest Price Technically Acceptable or Trade Off (Best Value)	RFQ or RFP
<u>Competitive Proposals</u>	\$10,000.00 +	Full and open procurement reference guidelines	Yes	Lowest Price Technically Acceptable or Trade Off (Best Value)	RFQ or RFP
<u>Noncompetitive Proposals</u>	No limit	Memo justification on the reason for sole source	Only if \$2,500+	Sole Source	None

7.1 Micro-Purchase

In accordance with [2 CFR 200.67](#), micro-purchase means a purchase of supplies or services using simplified acquisition procedures, for an aggregate amount which does not exceed the micro-purchase threshold. The micro-purchase procedure is used in order to expedite the completion of lowest-dollar small purchase transactions and minimize the associated administrative burden and cost. For items procured at or below the thresholds list above, POA allows a simplified procurement process. Micro-purchases may be awarded without soliciting competitive quotations if POA considers the price to “e "fair and reasonab”e," vendor is responsible and is documented. Splitting procurements to keep within the micro-purchase threshold to avoid competition requirements is not allowed. Micro-purchases should be distributed equitably among qualified vendors to the extent practicable. Micro-purchases should follow normal review process. For all

micro-purchases there must be proof of clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the U.S. Government or on a blocked persons list. To comply with this requirement staff need to check vendors on Visual Compliance. Micro-purchase do not require a formal contract or agreement.

7.1.1 Micro-Purchase Process and Checklist

Once the micro-purchase is agreed upon, the Procurement Team can initiate market research to determine the source for the best price. The market pricing can be done by going to the suppliers and getting the best price option, three suppliers is a good target. Any notes or price research should be retained with the purchase (if available). The Procurement Team can immediately procure the item once the best price has been determined. They must secure a receipt for this expense at the time of sale. The POA Compliance Team reserves the right to perform independent price checks to insure we are getting the best prices.

Steps	Task and Documentation
1	Program team identifies need for good or service below the micro-purchase threshold.*
2	Procurement Team conducts market research to identify appropriate vendors and reviews prices. <i>Documentation: Any notes or price research should be retained (if available).</i>
3	Verify vendor is not on an excluded party on Visual Compliance . <i>Documentation: Retain PDF of search results.</i>
4	Donor approval for restricted goods.
5	Prepare payment request form with invoice and obtain approvals. <i>Documentation: payment request and invoice.</i>
6	Obtain receipt/proof of purchase. <i>Documentation: Receipt/paid invoice.</i>
7	Receive goods/services.
8	Retain and file supporting documentation.

*For donor if restricted items, prior approval must be obtained prior to purchase.

Checklist items for **Micro Procurements** (in chronological order):



- ☐ Notes or research on price comparison (if available)
- ☐ [Visual Compliance](#) check
- ☐ Approved [payment request form](#) and invoice
- ☐ Receipt/proof of payment

Special situations

- ☐ Donor approval and/or waiver for restricted goods
- ☐ USG approval for subawards/subcontracts

7.2 Small Purchases

Small purchases are those valued above the micro-purchase threshold but below POA's competition proposals threshold. Procurement by small purchase procedures are those relatively simple and informal procurement methods for securing services, supplies, or other property. For a small purchase procurement, a PRF, and a minimum of three (3) price/rate quotes must be obtained from qualified sources and be the basis for supplier selection prior to making a purchase. The Procurement Team should document the methodology and results of the market-based research and justification for why and how the three (or more) vendors were selected to provide quotations. If the Procurement Team attempts to obtain three quotations, but less than three quotations are received, the Procurement Team must document the efforts made to obtain three quotations and reason why others were not received.

Documentation needs to be in writing from the suppliers and can include written quotes, quotes via email, screen shots from websites, copies of published price lists, advertised pricing in established magazines or journals, etc. POA must select a responsible provider that offers the product or service for the lowest price and meets the required specifications (as opposed to desired specifications). Award decisions are made based on best value to the project, taking price into consideration. When the lowest price vendor is not chosen, the Procurement Team must document why a non-price factor was more important than price.

Splitting procurements to keep within the small purchase threshold to avoid further competition requirements is not allowed. POA audits procurement records on an annual basis to ensure orders are not split to allow them to be procured in a less restrictive procurement method. Small purchases

should follow normal review process. For all small purchases there must be proof of clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the U.S. Government or on a blocked persons list. To comply with this requirement staff need to check vendors on Visual Compliance. Small purchases require a formal contract or agreement with the provider. Please reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type. Templates for all contracts can be found [here](#).

7.2.1 Small Purchase Process and Checklist

The Procurement Team must first submit and obtain approvals on the PRF, Once the PRF is approved, the Procurement Team researches possible responsible vendors. At a minimum three vendors are asked to provide a quote or proposal. The Procurement Team provides each vendor in writing the same description of the procurement requirements and criteria for vendor selection. At the time of issuing request to vendors, the Procurement Team should determine the appropriate vendor selection method. Depending on the good or service being procured, the method can be simplified (meaning price is most important), lowest price technically acceptable, or trade off (best value). Once the selection method has been determined, the method cannot be changed. If choosing a best value source selection method, the following set of criteria may be used for deciding on choice of vendors, while maintaining competition standards: price, quality of goods/services, availability of goods/services within the required delivery time, after sale services, including availability of parts/supplies, bidder's previous records of performance and service, ability of bidder to render satisfactory service in this instance, payment terms, warranty offered, ability to provide samples, and others.

After the Procurement Team receives the written quotes, the must prepare an [evaluation matrix comparison](#). The Procurement Team must use the same evaluation criteria provided to the vendors as on the matrix for bid comparison. After the Procurement Team completes the matrix, all individual on the team must sign and date, and add position titles. The final step is preparing a source selection memo which includes overview of vendors reviewed, provides the reasons for selecting the vendor, and lists final price. Be specific such as “vendor provided the lowest price” or if there were factors other than lowest price, provide a detailed explanation such as quality,

stock, delivery time, etc. If less than three quotes were obtained, reasons why should also be included in this memo. If the final price is significantly different (more than 10%) from the original PRF estimated value, include an explanation.

Steps	Task and Documentation
1	Prepare PRF and secure approvals.* <i>Documentation: Signed PRF</i>
2	Procurement Team conducts market research to identify appropriate vendors and reviews prices. Procurement Team to go to vendors and secure written quotes. <i>Documentation: Market research and three quotes.</i>
3	Prepare evaluation matrix with indication of winner. <i>Documentation: Signed evaluation matrix.</i>
4	Prepare source selection memo signed by Procurement Lead and approved by VP/HO Director/COP/PD. <i>Documentation: Source selection memo.</i>
5	Verify vendor is not on an excluded party on Visual Compliance . <i>Documentation: Retain PDF of search results.</i>
6	Sign appropriate contract and cover sheet . <i>Documentation: Fully executed contract and cover sheet.</i>
7	Donor approval for restricted goods.
8	Prepare payment request form with invoice and obtain approvals. <i>Documentation: payment request and invoice.</i>
9	Obtain receipt/proof of purchase. <i>Documentation: Receipt/paid invoice.</i>
10	Receive goods/services.
11	Sign certification of receipt of goods or services <i>Documentation: certification of receipt of goods or services.</i>
11	Add the procured goods to equipment and inventory tracking list and add tag numbers with proper marking and branding (if applicable).



12	Retain and file supporting documentation.
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*For donor if restricted items, prior approval must be obtained prior to purchase.

Checklist items for **Small Purchases** (in chronological order):

- ☐ Signed [PRF](#)
- ☐ Three written quotes/proposals for goods or services
- ☐ Signed [Evaluation Matrix](#) signed by all reviewers and approved by the procurement lead
- ☐ Notes or research on price comparison (if available)
- ☐ [Source selection memo](#) signed by Procurement Lead and approved by VP/HO
Director/COP/PD
- ☐ [Visual Compliance](#) check
- ☐ [Cover sheet and contract](#) reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type
- ☐ Signed [payment request form](#) with invoice
- ☐ Receipt/proof of payment
- ☐ [Certification of receipt of goods or services](#)

Special situations

- ☐ Donor approval and/or wavier for restricted goods
- ☐ USG approval for subawards/subcontracts
- ☐ Upward approval (if procurement exceeds Procurement lead's delegation of authority)

7.3 Competitive Proposals

All procurements valued at or above the competitive threshold must be conducted in a manner providing full and open competition consistent with the standards of [2 CFR 200.319](#). For these procurements, POA conducts full and open competition. This method is conducted with more than one source submitting an offer, and either a fixed price or cost reimbursement type contract is awarded.

To conduct full and open competitive proposals, the following process applies:

Solicitation:



1. Complete a [PRF](#)
2. Market research - Review the approved requisition and determine whether sufficient market research has been conducted, or needs to be conducted, to determine how the solicitation will be competed. Market research is only required for FO procurements valued at \$50,000 USD or more. Market research is required for all HO procurements above the simplified acquisition threshold.
3. Determine how the solicitation will be distributed. There are effectively only three options as follows:

Public Advertising - Is public advertising necessary to ensure adequate price competition?

Factors to consider may be:

- Public advertising is the established industry commercial practice for soliciting procurements.
- Market research has not been conducted.
- The project is not confident that there will be adequate price competition with the vendors that were researched.
- Concern that there may be collusion amongst vendors.
- Concern about price reasonableness, quality, or established/known vendors.
- New vendors are establishing themselves and the project wants to see what they can offer.
- To demonstrate greater transparency.

Vendor Distribution List (minimum of –) - Factors to consider may be:

- Does the market research indicate that there are a limited number of responsible vendors in the marketplace who can provide the required good or service?
- Does the market research indicate that these vendors could provide adequate price competition, i.e. satisfy the needs, compete independently, and prices will be fair and reasonable?
- Is there evidence to demonstrate that these conditions exist?
- Is there sufficient evidence that the items or services are commercially available?

Sole Source - Factors to consider may be:



- Are neither of the above-described options possible, if so, why?
 - Is there only one responsible source that can satisfy the requirements?
 - Is there evidence to demonstrate that these conditions exist?
4. Determine the type of solicitation ([request for quotation](#) or [request for proposal](#)) that is most appropriate for the procurement, taking into consideration the following key decision factors:
- How well developed is the scope of work or technical specifications?
 - Does the project expect the vendor to propose a technical solution, or is it a good or service that is commonly offered to others?
 - Is there an anticipated need to negotiate with the vendors in terms of pricing, delivery, and other non-price/cost factors?
 - How sophisticated, experienced, or knowledgeable are the vendors in the industry when responding to solicitations?
5. Determine the type of award that is most appropriate for the procurement. This is best done by defining objectives and how the technical teams expect to manage the vendor's delivery post-award.
- Are goods or services standard and do these have a fixed unit price?
 - Is there a defined activity, timeframe, and results which are stated clearly and concretely where deliverables can be easily measured and evaluated, i.e. milestones?
 - Are the exact requirements unknown or could the specifications permit costs to be estimated with insufficient accuracy at the time of award?
 - Does the project anticipate a recurring need for well-defined goods or services on a periodic basis?
6. Issue a formal written solicitation: [request for quotation \(RFQ\)](#), [request for proposal \(RFP\)](#). This includes the following:
- Specifications, scope of work or technical requirements for the goods or services to be purchased which must be clear and accurate and does not contain factors which unduly restrict competition.



- Include any branding or marking requirements in accordance with the Prime Award.
 - If procuring goods, vendors/suppliers will be asked to provide origin information and a certification stating that none of the equipment or any of its parts were manufactured, produced, or assembled in, or transiting through a prohibited country.
 - Criteria to be used in evaluating bids. Weighted rankings can be used, but if no ranking criteria is documented, price will be the sole determinant. If weighted criteria is used for bid evaluation must be documented by the procurement lead and approved by F&A Director or the Compliance Team.
 - Minimum acceptable performance standards.
 - Specific features of required items or services.
 - Must include the following text: *Any bidder feels that they have been treated unfairly or unjustly, they may submit a complaint or protest to Partners of Americas Compliance Team at compliance@partners.net. You may request confidentiality on your request.*
7. Requests for proposals or quotes must be publicized and identify all evaluation factors and their relative importance either via a vendor distribution list or public advertising. Advertising a solicitation publicly is recommended when the project has determined, through market research that informing the broadest number of vendors is the most practical way to achieve adequate competition.
- Any response to publicized requests for proposals must be considered to the maximum extent practical. The required timeline for publicization is as follows:

Home Office	
Estimated Contract Value	Posting Period Required
\$250,000.00 - \$500,000.00	Minimum five (5) Business Days
\$500,000+	Minimum fifteen (15) Business Days

Field Office	
Estimated Contract Value	Posting Period Required
\$10,000.00 - \$50,000.00	Minimum five (5) Business Days

\$50,0000+	Minimum fifteen (15) Business Days
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Receiving Bids:

8. Provide question and answer period
 - POA must establish a process for potential bidders to ask questions. All questions posed to POA, and the answers must be distributed to **all** bidders.
 - The best mechanism is to establish a date that questions must be submitted by, then all bid questions and answers can be shared to **all** bidders.
9. Proposals must be solicited from a minimum three (3) qualified providers.
 - In the absence of three submitted quotes or proposals, then a clearly documented in the source selection memo for justification demonstrating that efforts were taken to obtain three quotes or proposals must be prepared and submitted as part of the procurement documentation.

Proposal Review/Selection:

10. For all procurements, including contract modifications, in excess of the Simplified Acquisition Threshold (currently \$250,000 USD), POA must perform a cost or price analysis and document budget negotiations in a [Negotiation Memo](#) which is signed by the Procurement Lead.
11. Determine if a full evaluation committee is needed, or just technical reviewers. Please see guidance below:

Evaluation Committee Recommend	Evaluation Committee Not Recommended
<i>Trade Off Methods</i> There is an individual technical evaluation then a joint committee to determine which technical proposal ranks highest. <u>This the source selection method requires an Evaluation Committee.</u>	<i>Lowest Price Technically Acceptable</i> When the acceptability criteria are adequately defined a committee should not be needed and one or two technically qualified evaluators can determine whether proposals “meet” or “don’t meet” acceptability requirements.

- If an evaluation committee is not required, determine which technically qualified staff could review the bid matrix and provide technical feedback on whether the



offers meet the specifications or scope of work outlined in the solicitation. All evaluators must sign a [Conflict of Interest & Statement of Confidentiality form](#) prior to participating in the evaluation confirming that they have no conflict of interest with the procurement.

- If an evaluation committee is required, identify potential evaluation committee members, using the following guidelines:

- **Non-Voting Chairperson (1):** Procurement lead or VP/HO Director/COP/PD.
- **Evaluation Members minimum of three (3) members:** The POA evaluation committee shall be composed of program and management representatives serving as qualified technical or financial reviewers.
 - At least two of the committee members should possess relevant and qualified technical expertise.
 - One member of the committee should be a finance team member to advise on cost matters and assist in determining price reasonableness and realism.
 - For grants where the grantee is contributing a portion of the costs, the grantee could be included on the evaluation committee.
- Procurement lead must ensure all evaluation/selection committee members have signed and dated the [Conflict of Interest & Statement of Confidentiality form](#).

12. After the bid opening has been completed, then evaluation committee shall convene and review the submissions.

13. There must be a [written matrix](#) or method for conducting technical evaluations in compliance with the respective source selection method stated in the solicitation.

- All bidders will be screened to determine if their technical bid meets the terms of the RFQ/RFP. If the bid does not comply, they are rejected.
- The remaining bidders that have met the terms of the RFQ/RFP will be ranked according to the criteria identified in the RFQ/RFP.



- **Additional evaluation factors introduced during the evaluation must not be considered. All evaluation criteria must be clearly indicated on the RFP/RFQ.**

14. Final [evaluation matrix](#) must be prepared and signed by all committee members and approved by the VP/HO Director/COP/PD.
15. Prepare a [source selection memo](#) signed by Procurement Lead and approved by VP/HO Director/COP/PD which includes overview of vendors reviewed, provides the reasons for selecting the vendor, and lists final price. If less than three quotes were obtained, reasons why should also be included in this memo. If the final price is significantly different (more than 10%) from the original PRF estimated value, include an explanation.
16. Clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the U.S. Government or on a blocked persons list. To comply with this requirement staff need to check vendors on [Visual Compliance](#).
17. Procurement lead will contact winning bidder and negotiate a contract. If negotiations are unsuccessful with the top bidder, the procurement lead, with approval from the VP/HO Director/COP/PD, shall negotiate with the second ranked bidder. This process continues until an agreement is reached, the bid is cancelled, or continued solicitation of bids.
 - POA Procurement Manager should draw attention to any arithmetical errors that were corrected during the evaluation process. The bidder should be given the opportunity to correct those errors in the submission.
 - Must confirmation that the procurement follows limitations imposed by the federal awarding entity for geographic codes and restricted commodities purchase (as applicable).
18. Competitive proposals require a formal cover sheet and contract or agreement with the provider. Please reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type. Templates for all contracts can be found [here](#).
19. Once the agreement is concluded with the winning bidder, the other bidders should be contacted and told that their submission met RFQ/RFP terms but was not the best offer per the procurement ranking process.

All competitive proposals must be prepared/documentated by the procurement lead or designed staff member and reviewed by the F&A Director, and then approved by VP/HO Director/COP/PD.

In addition to the above requirements, it's important that POA staff do not put any undue restrictions on the procurement process. This may include, but is not limited to:

- Placing unreasonable qualification requirements on firms;
- Requiring unnecessary experience and excessive bonding;
- Noncompetitive pricing practices between firms or affiliated companies;
- Noncompetitive contracts to consultants on retainer contracts;
- Organizational conflicts of interest;
- Specifying only a “brand name” product instead of allowing “an equal” product to be offered and describing the performance or other relevant requirements of the procurement;
- Any arbitrary action in the procurement process; and
- Use of statutorily or administratively imposed state or local geographical preferences in the evaluation of bids or proposals (except in those cases where the federal awarding agency expressly mandates or encourages geographic restriction or preference).

7.3.1 Competitive Proposals Process and Checklist

It is required that an appropriate competitive process be utilized and fully documented. At minimum, the chart below represents the steps and documentation necessary for competitive proposals.

Steps	Task and Documentation
1	Prepare PRF and secure approvals.* <i>Documentation: Signed PRF.</i>
2	Procurement Team conducts cost price and market research to determine how the solicitation will be competed for field office procurements exceeding \$50,000 and for all HO procurements exceeding the simplified acquisition threshold. <i>Documentation: Market research.</i>
3	Determine how the solicitation will be distributed.

4	Determine if RFQ or RFP is appropriate.
5	Determine appropriate contract mechanism, reference the agreement table and agreement flow chart .
6	Issue a formal written solicitation with all technical requirements and evaluation criteria clearly represented. <i>Documentation: RFQ/RFP.</i>
7	Publicize RFQ/RFP. <i>Documentation: Proof of public advertisement or distribution list.</i>
8	Provide question in the answer period, with responses provided to all bidders. <i>Documentation: Copies of all questions and answers provided to vendors.</i>
9	Receive copies of all quotes or proposals. <i>Documentation: Copies of at a minimum (3) three quotes or proposals.</i>
10	For all procurements, in excess of \$250,000 USD, a cost or price analysis and document budget negotiations in a Negotiation Memo , signed by Procurement Lead <i>Documentation: Signed negotiation memo.</i>
11	Ensure all evaluators sign Conflict of Interest & Statement of Confidentiality form . <i>Documentation: Signed Statement of Confidentiality/Conflict of Interest Forms from Evaluation Committee members</i>
12	Evaluation Committee convenes to review all quotes or proposals.
13	Evaluation Committee reviews and evaluates all quotes or proposals received. <i>Documentation: Support from technical/evaluation committee review (i.e. review notes, matrix analysis, etc.).</i>
14	Prepare evaluation matrix with indication of winner signed by all committee members and approved by the VP/HO Director/COP/PD. <i>Documentation: Signed evaluation matrix.</i>
15	Prepare source selection memo signed by Procurement Lead and approved by VP/HO Director/COP/PD. <i>Documentation: Source selection memo.</i>
16	Verify vendor is not on an excluded party on Visual Compliance .

	<i>Documentation: Retain PDF of search results.</i>
17	Donor approval for restricted goods.
18	Contact winning bidder and negotiate contract.
19	Sign appropriate contract and cover sheet . <i>Documentation: Fully executed contract and cover sheet.</i>
20	Notify all other bidders of results.
21	Prepare payment request form with invoice and obtain approvals. <i>Documentation: payment request and invoice.</i>
22	Obtain receipt/proof of purchase. <i>Documentation: Receipt/paid invoice.</i>
23	Receive goods/services.
24	Sign certification of receipt of goods or services
25	Add the procured goods to equipment and inventory tracking list and add tag numbers with proper marking and branding (if applicable).
26	Retain and file supporting documentation

*For donor if restricted items, prior approval must be obtained prior to purchase.

Checklist items for **Competitive Proposals** (in chronological order):

- ☐ Signed [PRF](#)
- ☐ Market research for FO procurements that exceed \$50,000 USD or for HO procurement that exceed the simplified acquisition threshold.
- ☐ [RFQ](#) or [RFP](#)
- ☐ Proof of publication of the opportunity including identification of all evaluation factors and their relative importance (i.e. published advertisement or distribution list)
- ☐ All questions posed and answers provided
- ☐ Copies of ALL written quotes/proposals for goods or services
- ☐ Signed [Conflict of Interest & Statement of Confidentiality form](#) from evaluators
- ☐ Evaluation committee evaluations, notes, and documentation
- ☐ [Evaluation Matrix](#) signed by all reviewers and approved by VP/HO Director/COP/PD



- ☐ [Negotiation memo](#) and research on price comparison/cost analysis (note required for procurements over \$250,000)
- ☐ [Source selection memo](#) signed by Procurement Lead and approved by VP/HO Director/COP/PD
- ☐ [Visual Compliance](#) check
- ☐ [Cover sheet and contract](#) reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type
- ☐ Signed [payment request form](#) with invoice
- ☐ Receipt/proof of payment
- ☐ [Certification of receipt of goods or services](#)

Special situations

- ☐ Donor approval and/or wavier for restricted goods
- ☐ USG approval for subawards/subcontracts

9.1 Upward approval (if procurement exceeds Procurement lead's delegation of authority)

4 Noncompetitive Proposals – Sole Source Justification

In rare circumstances a sole source transaction may be permitted. A sole source procurement can be defined as any contract entered without a competitive process, based on a justification that only one known source exists or that only one supplier can fulfill the requirements.

Failing to anticipate needs resulting from poor planning is not an exception to competitive requirements. A faster procurement process or the fact that POA used the vendor before for similar work is not justification. A sole source transaction is one that normally would require full procurement; however, given certain circumstances, the purchase will be approved without full and open competition.

All sole source procurements must be approved in writing by HO Compliance Team, regardless of the amount. All sole source procurement must comply with the circumstances listed in [2 CFR 200.320\(c\)\(1\)](#). When an employee, representative or affiliate proposes sole source procurement, he/she must provide clear written justification documenting the process and efforts used for determining that there are no other qualified providers. For an exception to be valid, a clear



statement of justification for waiving the competitive bidding process must be submitted in writing. The justification must include:

1. Reason to justify exemption from open competition in accordance with [2 CFR 200.320\(c\)\(1\)](#).
2. Explanation/justification about why only one known source that can provide the commodity or service, or unique source (commodity/service is unique/special in nature); or compatibility (e.g., a public safety agency requiring a specific piece of equipment to be compatible with an existing equipment system).
3. Nature and/or description of good or service being approved, and which are required to meet program needs (including the estimated value).
4. A determination that the anticipated cost to the government will be fair and reasonable.
5. Brief statement about how the project determined that the vendor is responsible.

The following are possible scenarios of when sole source procurement may be justified:

1. When the acquisition of property or services, the aggregate dollar amount of which does not exceed the micro-purchase threshold.
2. When only the proposed provider can furnish the services because of its previous experience with POA and having an alternative source duplicating these capabilities would result in excess cost.
3. When only one supplier can satisfy the technical requirements because of unique technical competence or expertise, or the work “so specialized” in nature that there is only one entity that could complete it.
4. When the item does not satisfy the requirements for sole source, but the use of any other manufacturer would result in excessive costs.
5. When there is a security concern or other security risk that would allow for only one provider.
6. When only one source possesses the patent(s) or exclusive right(s) to manufacture or to furnish the item or service.
7. When the item is available only from a single source, such as:



- a. Artwork
 - b. Unusual and generally unavailable used equipment,
 - c. Specialized scientific equipment and instruments
 - d. A specialized service (e.g. consultant) where the supplier has a one-of-a-kind ability to provide the required service due to demonstrably unique circumstances (knowledge, contacts, experience)
8. Continuation of a current service where changing suppliers could result in excessive cost
 9. When the federal awarding agency or pass-through entity expressly authorizes noncompetitive proposals in response to a written request from POA.
 10. When after solicitation of a number of sources, competition is determined inadequate.
 11. The public urgency or emergency for the requirement will not permit a delay resulting from competitive solicitation such as:
 12. Human life, health or Partners' property is in jeopardy
 13. Repairs are immediately needed for equipment where delay would lead to higher expense.
 14. Subcontracts or subaward where the agreement to work with another individual or institution was written into the grant award and subsequently approved by the federal awarding entity.

All noncompetitive proposals must be prepared/documented by the procurement lead, and then approved by HO Compliance Team. For all noncompetitive proposals there must be proof of clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the U.S. Government or on a blocked persons list. To comply with this requirement staff need to check vendors on [Visual Compliance](#). Noncompetitive proposals require a formal contract or agreement with the provider if over the respective micro-purchase threshold. Please reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type. Templates for all contracts can be found [here](#).

9.1.1 7.4.1 Noncompetitive Proposals Process and Checklist

The chart below represents the steps and documentation necessary for noncompetitive sole source proposals.

Steps	Task and Documentation
1	Prepare PRF and secure approvals.* <i>Documentation: Signed PRF.</i>
2	Procurement Team conducts research to justify the exemption from competition.
3	Prepare a sole source justification memo and obtain HO Compliance Team approval. <i>Documentation: Signed sole source justification memo.</i>
4	Verify vendor is not on an excluded party on Visual Compliance . <i>Documentation: Retain PDF of search results.</i>
5	Donor approval for restricted goods.
6	If over micro-purchase threshold, sign appropriate contract and cover sheet . <i>Documentation: Fully executed contract and cover sheet.(as applicable)</i>
7	Prepare payment request form with invoice and obtain approvals. <i>Documentation: payment request and invoice.</i>
8	Obtain receipt/proof of purchase. <i>Documentation: Receipt/paid invoice.</i>
9	Receive goods/services.
10	Certification of receipt of goods or services for procurements over the micro-purchase threshold.
11	Add the procured goods to equipment and inventory tracking list and add tag numbers with proper marking and branding (if applicable)
12	Retain and file supporting documentation

*For donor if restricted items, prior approval must be obtained prior to purchase.

Checklist items for **Noncompetitive (sole source) Proposals** (in chronological order):

- ☐ Signed [PRF](#)
- ☐ [Sole source justification memo](#) approved by HO Compliance Team
- ☐ [Visual Compliance](#) check



- ☐ If procurement exceeds the micro-purchase threshold, a [cover sheet and contract](#) is required. Reference the [agreement table](#) and [agreement flow chart](#) to select the appropriate contract type
- ☐ Signed [payment request form](#) with invoice
- ☐ Receipt/proof of payment
- ☐ [Certification of receipt of goods or services](#) for procurements over the micro-purchase threshold.

Special situations

- ☐ Donor approval and/or wavier for restricted goods
- ☐ USG approval for subawards/subcontracts
- ☐ Upward approval (if procurement exceeds Procurement lead's delegation of authority)

7.5 Procurement Documentation

Each of the above procurement methods includes a checklist of documents required for that transaction. These documents must be collected and placed in the exact order as the listing, then stored in accordance with [POA's Record Retention Policy](#) and the unit's filing system. Originals documents should be maintained in the HO or FO. The originals should be scanned and uploaded to SharePoint and save in the unit's folders. VP/HO Director/COP/PD is responsible reviewing all documentation checklist items and quality (correct implementation of this policy). The Compliance Team will sample and spot check submissions for completeness and quality. Any missing documents or issues have to be corrected immediately.

8. Special Circumstances

The following are special circumstances that may occur during the procurement process. The Procurement Team should follow the guidance below, whenever one of these special circumstances arise.

8.1 Use of Alternate Procurement Method

In some instances, the use of an alternate procurement method can be justified. It may be more appropriate to use the procurement method from a lower threshold. For instance, the cost of a

procurement of a block of hotel rooms might dictate the use of the competitive proposal method, but use of the small purchases method might yield better results and a better overall value for the program and donor. Securing written quotes may provide a larger bidding pool and more competitive prices. In cases where an alternate procurement method is considered, the Procurement Team should document their justification and submit to HO Compliance Team for approval. In the justification, the team must justify how the result is a better value for the program. Simply being a faster procurement method is not justification.

8.2 Protest by Bidder

If a bidder perceives unjust treated in connection with the solicitation or award of a contract, they may lodge a complaint with the Compliance Team. Under no circumstances will the staff involved in the procurement activity under complaint be allowed to participate in the review of the bidder protesting.

A protest process involves the Compliance Team who makes an initial assessment of the complaint and who may, at their discretion, seek clarification from the staff, as necessary. The Compliance Team then issues a written response to the bidder. This response will reflect the final formal position of POA on the matter. Any allegations of fraud or staff misconduct shall be brought to the Compliance Team, supervisor, or any member of senior management and follow POA's [Whistleblower Policy](#). All complaints or protests must be conveyed to the Compliance Team at compliance@partners.net.

8.3 Illiterate Bidders

9.1 POA may encounter situations when prospective bidders cannot read and write. If this situation is expected, the Procurement Team should establish bid sample forms and either match the prospective bidders with literate members of the community or conduct a verbal interview with the bidder and record their responses. At the conclusion of the interview, the responses should be read back to the bidder and the bidder should sign or provide thumb print to endorse his verbal quotation that was recorded accurately. POA should not provide bid responses that reflect their intentions. Rather POA should document that the bidder was illiterate and record their verbal bi.4 Unwilling Bidders

POA may encounter situations when prospective bidders are unwilling to provide a written quote. This could be due to politics, security concerns, or other reasons. If this situation occurs, the Procurement Team should conduct a verbal interview with the bidder and record their responses. At the conclusion of the interview, the responses should be read back to the bidder and the bidder should sign to endorse his verbal quotation that was recorded accurately.

8.5 Failed Bids

POA reserves the right to reject all bids. If the bidding process produces poor quality bids, then evaluation committee may reject all and restart the process with a modified approach. In the event the bidding process does not produce a successful bidder, the evaluation committee shall convene to determine how to modify the bidding approach for a second solicitation. The evaluation committee may not retroactively modify the terms of the solicitation and make an award. If the terms are modified, then a second solicitation is required. The evaluation committee should examine their process and results to determine how to improve during a second solicitation. POA can proactively contact potential bidders to encourage them to bid.

8.6 Approved Pre-qualified Vendors List

If POA has repetitive procurements in a specific product or service area, the Procurement Team might consider establishing an approved vendor list with pre-qualified vendors. This is a method that can help speed up procurements of repetitive goods. “Pre-qualification” will mean the solicitation, evaluation, and selection of vendors for the purpose of creating a list of vendors that

are eligible to be retained by the Procurement Team on an as-needed basis. Pre-qualification is mainly used when procuring a particular type of good/service on a regular basis. Using the approved vendor list makes reoccurring procurements simple, easy, cost effective and less time consuming. It also allows the Procurement Team to award contracts on an as-needed basis to respond to its urgent needs while still benefiting from a broad, competitive solicitation of qualified vendors. POA should strive to have multiple vendors for each product/service that are pre-qualified, but at a minimum each list should have three vendors. In the case where POA has only one or two approved vendors, then POA can solicit those approved vendors, but must also issue a public solicitation for bids. Public solicitation should follow normal procedures. Approved vendors should always be solicited for the products/services for which they are approved.

Following this method will result receiving fair prices for the goods and services in a shorter time frame than for normal vendor selections. Further, this procedure is more efficient because announcing an opportunity in the open market requires the repetitive process of receiving bids from all organizations, determining which vendors fit the criteria, selecting, and securing the preferred organization.

8.6.1 Management of Approved Pre-qualified Vendor List

Registered vendors are selected based on approved evaluation criteria in each relevant field for goods/services. For a vendor to be added to the approved pre-qualified vendor list, procurement team must follow the steps below. Procedure of adding and changing vendors in the Approved Pre-qualified Vendor List:

1. Procurement Team follows the normal procurement process for a competitive proposal and prepares RFQ/RFP for registration of different vendors.

The RFQ/RFP will invite different vendors to prepare documents and disclose their product/service specialization, financial, and technical strengths.

Upon receipt of documents, the Procurement Team establishes an evaluation committee to assess the vendors. The evaluation committee should consist of the Procurement Lead, and VP/HO Director/COP/PD or their authorized representatives.



Evaluation committee assess the technical and financial and other relevant aspect of the vendors based on the requirements and evaluation criteria.

Details of each vendor after assessment will be filled out on the evaluation matrix.

The evaluation committee has the authority to add or omit vendors from the Approved Pre-qualified Vendor List, with the approval of the VP/HO Director/COP/PD.

Before adding any vendor to the final list, the Procurement Team must do a compliance vetting.

Files should be created for each approved vendor based on the area of specialization that will be used for bid invitation along the year for different contracts and products.

Vendors' files will be kept till end of the year unless vendor is blacklisted based on forged documents or poor quality of service or products.

Careful selection of vendors should be done to ensure that best possible price, quality, and delivery time available within the markets is obtained. Vendors that are approved for a specific product/service are not automatically approved for other products/services. Vendors must apply and be approved for every product/service or product/service group.

A pre-qualified status doesn't guarantee contract win, as POA still needs to evaluate offers submitted by pre-qualified vendors when the need arises. Once a pre-qualified vendors list has been completed, when a future procurement needs arise for the particular good or service an RFQ/RFP can be released to just the pre-qualified vendors and then those quotes or proposals evaluated in accordance with the normal procurement process. No public solicitation will be required, except for the annual solicitation of vendors to apply for the Approved Pre-qualified Vendor List.

The vendor list shall be reviewed and updated periodically but at a minimum annually to ensure that current known factors are taken into consideration. Vendor selection for inclusion on the list of pre-qualified vendors will take place twice per year and will be done by the Procurement Team.

8.7 Blanket Purchase Agreement

A blanket purchase agreement (BPA) is used for procurements of a recurrent nature, where the same goods and services may be issued several times a year, one vendor may be selected for a period of up to one year. BPA can be for both goods and services. In some cases, particularly for services, contracts for the goods or services can be drawn up once, which may then be reference every time those goods or services are required without requiring separate quotations and contracts on each occasion. In other cases, particularly for regularly purchased goods, vendors can be selected once, but separate contracts drawn-up on each occasion the vendors are used. The appropriate procurement method should be used depending upon the anticipated cost of the total procurements for the year. Each BPA's total purchases throughout the year normally should not exceed \$250,000. If a BPA's total purchases are expected to exceed \$250,000, the procurement team must notify the Compliance Team.

BPA's provide opportunities to negotiate better discounts, leverage buying power through volume purchasing, and reduce administrative time by eliminating repetitive acquisition efforts. The competitive process is done once (minimum once each year) instead of repeatedly issuing solicitations and evaluating bids for the same category or portfolio of supplies or services. BPAs do not carry any obligated funds, so there are no minimum ordering requirements. This is a formal option for projects to establish a written ordering agreement between the project and the vendor. The project must use [POA's BPA template](#).

A BPA is most commonly used for the following categories, but the list is not exhaustive:

- Defined list of office supplies (paper, pens, folders, etc.)
- Defined list of cleaning supplies (bathroom tissue, soap, etc.)
- Supply of fuel or other petroleum products
- Auto repairs and maintenance
- Minor carpentry (to POA leased facilities only)
- Plumbing (POA leased facilities only)
- Electrical repairs (POA leased facilities only)



- Printing
- Hotels
- Communications such as internet, mobile phone cards
- Translation
- Legal services obtained from local law firm
- Accounting services from local firm
- Travel agencies and booking agents
- Transportation services

8.7.1 Establishing a Blanket Purchase Agreement

To establish a BPA the Procurement Team must:

1. Establish a list of possible recurring goods and services that will be purchased frequently (monthly, if not more frequently).
2. Estimate the total value of each category of goods or services to be purchased during the next 12-month period.
3. Submit a requisition (RFQ/RFP) detailing the type of items to be procured, the overall value and the period that would be required.
4. Based on the total expected value of the BPA the procurement team should follow the appropriate procurement method process to establish a BPA. There are a few minor differences in the process. Follow the below guidelines and fully document the competition through the solicitation, evaluation, and selection process.

The solicitation (RFQ/RFP) must clearly detail, how POA intends to reorder goods, an estimate of how frequently, and the validity period of the prices expected. It also must include criteria to be utilized evaluate bids –price alone or price and other factors (i.e. past performance, quality, etc.). Most projects should use trade off (best value) for BPAs. The Procurement Team must select vendor(s) based on evaluation criteria stated in the solicitation. It is highly recommended that BPAs are issued to more than one vendor. Having multiple BPA holders for routine services /goods ensures the best terms of procurement, most notably price. If only one BPA holder can provide the good and services requested, include a justification in the source selection memo to describe the



exception to the competition process and to justify the selection decision for the BPA holder(s). BPA vendor must be fully vetted via a Visual Compliance check. Draft the Blanket Purchase Agreement (BPA) for the vendor to review. If the vendor requires to use their own agreement format, it must clearly state the following terms and conditions in the agreement:

Description of agreement: a statement that the supplier shall furnish goods or services, described in general terms, if and when requested by POA during a specified period and within a stipulated aggregated amount, if any.

Price List: The negotiated unit prices for each type of good or service.

Purchase Limitation : A statement that specifies the purchase limitation for each individual order under BPA.

The names of the project staff who are authorized to buy using the agreement.

A maximum time frame for purchasing under the BPA (usually one year, but may be less in case the vendor does not agree to lock in prices for a year).

Extent of obligation: A statement that POA is obligated only to the extent of authorized purchases actually made under the BPA and there is no minimum ordering amount.

Full terms, conditions, and certifications, as normally attached to 'OA's Purchase Orders.

BPA should be initially signed for a maximum of 12 months.

8.7.2 Extending, Modifying or Re-competing a Blanket Purchase Agreement

A BPA is considered complete when the purchases under it equal its total limitation amount (ceiling) (if a limitation amount is established in the BPA) or when its stated period expires. An existing BPA may be modified, upon a written review of satisfactory performance after the initial performance period. The technical team overseeing the contract must provide a written performance review of the vendor and indicate if the vendor should be extended and the amount of the dollar value ceiling increase (if applicable). In no case shall BPA's be signed for more than 24 months. POA will allow minor adjustments to prices for inflationary changes after the first 12 months, however if the price change is substantial, the BPA must be re-competed

The procurement team will be responsible for re-competing a new BPA when the agreement period expires, when ceiling, if any, has been expended, or when the vendor no longer provides the best value, in accordance with the steps above.

8.7.3 Using a Blanket Purchase Agreement

Confirm if the requested items fall under an established, and still valid, BPA or ordering agreement. The good or services' specifications must match exactly to those on the BPA's price list. If the item does not match the specifications exactly, it cannot be procured through the BPA. If the BPA has a ceiling, check the remaining value of the BPA, or ordering agreement, to ensure that a new requisition for goods or services will not exceed the total value of the agreement.

For goods, amongst the BPA holder(s), select the vendor which offers the lowest price for the item, based on their established price list, and the vendor that meets the requirements for quantity and delivery time as per the requisition. If the lowest price vendor does not have the required stock or cannot perform the service, contact the next lowest price vendor accordingly. A written justification for why a BPA holder has been selected is only required if the lowest price vendor is not chosen. A source selection memo and evaluation matrix is not required at this stage, as it was done originally when the BPA holder(s) were chosen.

For services a formal request in writing must be made by POA, and reference the BPA without requiring separate quotations and contracts on each occasion. For regularly purchased goods, vendors can be selected once, but separate contracts drawn-up on each occasion the vendors are used if the purchase exceeds the micro-purchase threshold.

The procurement team will still need to sign a certification of receipt of goods or services and complete a PRF.

8.8 Prior Approval for Subawards or Subcontracts

Under all USG funded programs, prior approval from the donor is required in the following circumstances.



- All subcontracts above \$250,000.
- All fixed amount subawards/subcontracts in accordance with [2 CFR § 200.333](#). (Note the maximum amount for a fixed price sub word is \$250,000 USD which is the current simplified acquisition threshold.
- Unless described in the application and funded in the approved Federal awards, the subawarding, transferring or contracting out of any work under a Federal award in accordance with [2 CFR § 200.407](#). This does not apply to the acquisition of supplies, material, equipment, or general support services.

8.9 Prohibited Countries

Prohibited Countries are countries that the U.S. Government does not do business with, i.e. purchase goods or services from these source, nationality, and origin countries. POA, as a U.S. based entity, must verify the source, nationality, and origin, of goods and services and ensure (fully possible) that POA does not procure any goods or services originating in any country appearing on the U.S. Government restricted list OFAC sanctioned countries. As of the date of this version of the Procurement Policy, the following countries are restricted and POA cannot procure from them:

- The following regions of Ukraine: Crimea, Donetsk, and Luhansk
- Cuba
- Iran
- North Korea
- Russia
- Syria

Goods may not transit through or be assembled in comprehensive sanctioned origin countries, nor can the vendor be owned or controlled by a prohibited country. POA is prohibited from facilitating any transaction by a third party if that transaction would be prohibited if performed by POA.

8.10 Ineligible Goods or Services

POA may not, under any circumstance, procure any of the following equipment or services under any USG contract or cooperative agreement:



- i. Military Equipme-t - USG funds shall not be used to finance any goods and services when the primary purpose of such assistance is to meet military requirements of the cooperating country.
- ii. Surveillance Equipme-t - All types of surveillance equipment are ineligible for USG financing. The ineligible items include equipment such as microphones, transmitters, listening devices, and recording devices of microminiature design, and components thereof. In rare instances, some of these devices will have a non-surveillance use in USG programs. In such instances, it is the legitimacy of the purpose rather than the specific characteristics of the commodity that determines its eligibility.
- iii. Commodities and services for support of police or other law enforcement activiti-s - USG shall not finance or authorize the furnishing of commodities and services for the training, support, administration, or operation of any police or other law enforcement forces or for any program of internal intelligence or surveillance.
- iv. Abortion Equipme-t - USG funds shall not be used:
 - a. To purchase or distribute commodities or equipment for the purpose of inducing abortions as a method of family planning;
 - b. To finance services for the performance of abortions as a method of family planning;
 - c. For any biomedical research which relates, in whole or in part, to methods or the performance of abortions or involuntary sterilization as a method of family planning;
 - d. To motivate or coerce any person to practice abortions; or
 - e. To lobby for abortions.
- v. Luxury Goods – USG funds shall not be used to finance commodities that are luxury goods. Luxury goods include such commodities as alcoholic beverages and equipment for their production and use, equipment and supplies for gambling facilities, certain recreational supplies and equipment, jewelry, stamps, coins, furs, and the more expensive textiles.



- vi. *Gambling Equipment* – USG funds must not be connected under any circumstances with the financing of gambling facilities. No USG funds, investment guarantees, or otherwise shall be used to finance gambling facilities or hotels, casinos, tourist accommodations, or housing which have or plan to install such facilities.
- vii. *Weather Modification Equipment* – USG funds shall not be used to finance equipment for use in weather modification.

8.11 Restricted Commodities (USAID)

Under USAID funded projects, restricted goods, are those that cannot be purchased without PRIOR approval by USAID Agreement Officer or Contracts Officer or comply with required procedures under an applicable waiver, as provided by the Agreement Officer or Contract Officer when procuring any of the following commodities:

- i. *Agricultural commodities* - Agricultural commodities can be broadly defined as grain, livestock, poultry, fruit, timber or other items produced from agricultural activities.
 - a. More detailed information on commodities that do and do not require approval can be found on the USAID Commodity Eligibility Listing at: <https://www.usaid.gov/sites/default/files/documents/1876/312.pdf>.
 - b. Agricultural commodities also require source/origin approval, even if the geographic code is 935, so appropriate language should be included in the approval request.
- ii. *Motor vehicles* - Per the ADS this is defined as self-propelled vehicles with passenger carriage capacity, such as highway trucks, passenger cars and buses, motorcycles, scooters, motorized bicycles, All Terrain Vehicles (ATVs), and utility vehicles. Excluded from this definition are industrial vehicles for materials handling and earthmoving, such as lift trucks, tractors, graders, scrapers, and off-highway trucks.
 - a. The purchase of all motor vehicles is subject to "special manufacturing requirements" requiring that all vehicles procured be manufactured in the U.S. unless an individual waiver is obtained, or the blanket waiver (outlined below) applies. ([ADS 312](#) and [22 CFR 228](#)) These special manufacturing requirements are irrespective of the project's geographic code. The "special manufacturing



requirements” dictate that motor vehicles must be manufactured in the United States to be eligible for USAID financing, unless a waiver is approved. This requirement applies to motor vehicles that are purchased, obtained under a long-term lease, or where the sale is guaranteed by USAID, in accordance with Section 636(I) of the Foreign Assistance Act of 1961 (FAA), as amended, and the special source rules at 22 CFR 228.19. Vehicles require source/origin approval, even if the geographic code is 935, so appropriate language should be included in the approval request.

- b. Long term vehicle leases are subject to the same special manufacturing requirements unless a waiver is obtained. A long-term lease is defined as per 22 CFR 228.01, as, specifically, “a) a single lease of more than 180 calendar days; or b) repetitive or intermittent leases under a single award within a one-year period, which cumulatively total more than 180 calendar days, [ADS 312](#). Section 228.19(b) further clarifies that financing transportation or driver services from an individual or commercial entity and not directly financing the purchase or lease of a vehicle, is subject to the nationality of supplier’s requirements and not the special U.S. manufacturing requirements.
- c. The following blanket waiver (dated June 13, 2011) does not remove the requirement to seek approval and waiver for all vehicle procurements, as outlined above. A blanket waiver for source and origin applies only to the following two specific procurements:
 - 1. Right-Hand-Drive Vehicles in countries where vehicles travel on the left side of the road. Although a source and origin waiver for these vehicles is not required, projects must document in the Source Selection Memo a justification for why the only US made right-hand-drive vehicle available, i.e. the Jeep Wrangler, is not suitable for its needs.
 - 2. Lightweight and medium weight (less than 600 cc) two and three-wheel motor vehicles. Although a source and origin



waiver for these vehicles is not required, projects must document in the Source Selection Memo a justification for why the only US made lightweight and medium weight (less than 600cc) two and three-wheel motor vehicles, i.e. made by Rokon, is not suitable for its needs. Rokon motorcycles are often not suitable for rural or rugged terrain, however sometimes suitable for urban projects. Rokon motorcycles must be otherwise used, when suitable.

- iii. Pharmaceutica-s - A pharmaceutical drug, also referred to as medicine, medication, or medicament, can be loosely defined as any chemical substance intended for use in the medical diagnosis, cure, treatment, or prevention of disease.
- iv. Pesticid-s - Per the [ADS 312](#) this is defined as any substance or mixture of substances intended for preventing, destroying, repelling, or mitigating any unwanted insects, rodents, nematodes, fungi, weeds, and other forms of plant or animal life or viruses, bacteria, or other micro-organisms (except viruses, bacteria, or other micro-organisms infesting humans or live animals), or intended for use as a plant regulator, defoliant or desiccant.
- v. Used equipment (includes used vehicle-) - It is US'ID's policy generally to finance only new equipment. However, where special circumstances justify the purchase of used, rebuilt, or reconditioned equipment, USAID will consider requests from a borrower/grantee for authority to procure such equipment. Under proper safeguards, the procurement of used equipment, which would normally be rebuilt or reconditioned, can provide certain advantages such as lower cost and quicker delivery. In addition, such equipment may be less sophisticated in design than new equipment, thus offering operational and maintenance advantages.
- vi. U.S. Government-owned excess proper-y - USAID funding is USG funds, so POA cannot buy USG property with USG money.
- vii. Fertilize- - This concerns only inorganic or man-made fertilizers; animal manures are considered organic fertilizers and do not require USAID approval.



8.11.1 Source, Origin, and Nationality

Restricted commodities must be of U.S. source/origin.

- **Source** is defined as the country from which a commodity is shipped to the cooperating country (or the cooperating country itself if the commodity is located therein at the time of the purchase).
- **Origin** is defined as the country where a commodity is mined, grown, or produced. If the expected procurement will not be of U.S. source/origin, then a waiver must be requested in addition to the prior approval request from the Agreement Officer or Contract Officer.
- **Nationality** –
 - An individual refers to his/her citizenship, lawful permanent residence or equivalent immigration status to live and work on a continuing basis in a country. In accordance with the respective geographic code POA may procure/engage the services of individuals directly as independent consultant to and hire employees directly with nationality from any country except those prohibited countries see [8.9 Prohibited Countries](#). This means that a waiver is not required when hiring an individual from a country outside of the geographic code in the prime contract/cooperative agreement, provided the consultant does not have nationality from a prohibited country.
 - An organization/supplier's nationality is defined by the following criteria:
 - The firm is organized under the laws of the country or place of legal organization, or
 - The organization is managed by a governing body, the majority of whom are citizens or residents of such country; or
 - The organization's employment of citizens or residents of such country in more than half of its permanent full-time positions and half its principal management positions.

If procuring any of these commodities from non-U.S. source/origin POA must justify each instance and the documentation must explain the circumstances surrounding the procurement. The

justification should be based on one or more of the following reasons, which is included in the documentation:

- i. The procurement was of an emergency nature, which would not allow for the delay attendant to soliciting U.S. sources,
- ii. The price differential for procurement from U.S. sources exceeded by 50% or more the delivered price from the non-U.S. source,
- iii. Compelling local political considerations precluded consideration of U.S. sources,
- iv. The goods or services were not available from U.S. sources, or
- v. Procurement of locally available goods and services, as opposed to procurement of U.S. goods and services, would best promote the objectives of the Foreign Assistance program under the award.

One request may be submitted to the Agreement Officer or Contract Officer for both the waiver as well as the prior approval. Program team should anticipate that prior approvals may take up to 14 days or longer.

8.12 Geographic Codes (USAID)

Under USAID funded projects, geographic code is a three-digit code in the USAID Geographic Code Book which designates a country, a group of countries, or an otherwise defined area from which procurements of all goods and services must be made to be reimbursed under the award. Each program team must check their respective prime award to ensure their procuring within the allowable geographical code. The program team must comply with these codes unless a waiver is obtained from the USAID.

Geographic Codes:

- **Code 937** (the United States, the recipient country, and developing countries other than advanced developing countries, but excluding any country that is a prohibited source)
- **Code 110** (the United States, the independent states of the former Soviet Union, or a developing country, but excluding any country that is a prohibited source)
- **Code 935** (any area or country including the recipient country, but excluding any country that is a prohibited source)

9. Annual Procurement Plan

The annual procurement plan (APP) reflects the POA's procurement activities for a specific calendar year. Procurement planning is the preparation for the purchase of goods, services or works early so that the procurement process is done timely, efficiently, and cost effectively. Procurement planning helps with the timely execution of the procurement steps and helps ensure compliance with POA and the donor requirements for transparency and ethical conduct.

Annually, all programs/units will need to prepare an APP. The APP will be due to the VP/HO Director/COP/PD and the respective finance team (whether HO or FO) by December 31st of each year and must include all expected procurements for the next calendar year. A copy of the APP should also be sent to the Compliance Team for their awareness. The APP must be prepared on the [POA APP template](#) as shown below:

ANNUAL PROCUREMENT PLAN								
Prepared by:								
Funder/Grant:								
Contract / Agreement No.:								
Period Covered:		January 1, 20XX to December 31, 20XX						
No.	Item description (What to procure)	Deadline to submit Purchase Requisition Form	Day and month when goods/services must be received	Quantity (How many)	Expected delivery location/procurement region	Estimated Cost	Procurement method	Donor prior approval and/or waiver required?
1								
2								
3								
4								
5								
6								
7								
8								
9								
10								
Total:						\$0.00		
Reviewed and Approved by:					Date:			
Signature:								

The procurement plan help:

- Prepare and identify the key procurement that will be required
- Indicate type of procurement (competitive, non-competitive, etc.)
- Budgeting for procurement:
 - Ensure adequate funds will be available
 - Include ALL costs for the procurement: purchase price, shipping, insurance, installation, etc.

- Demonstrate process and time required for obtaining approvals and waivers required, if any
- Plan ahead and allow time for possible delays in procurement
 - Example: long lead times by manufacturers, program changes, product changes, quality problems, natural disasters or other occurrences that might impact delivery

The APP should provide the standard process for procurement of items over a period of time. However, it should be flexible enough to allow for adjustments if required due to changes in program implementation, donor requirements, availability of commodities, etc.

9.1 Procurement Tracker

Upon receipt of PRFs the Procurement Lead will first verify that the requisition is properly approved according to the signing authority. He/she will then enter the requisition details into the [procurement tracker on the template](#) provided by POA, then begin sourcing for the goods. The procurement tracker should be updated to reflect PRF's as they are received. It also includes information on status of each procurement requisition, complete with expected delivery date. The Procurement Tracker should be shared with the program team.

10. Inventory Management

The purpose of this procedure is to provide guidance for the internal control, management, reporting and transfer (i.e. disposition) of project inventory. All property must be maintained in accordance with the operations and instructions manuals, and manufacturer recommendations.

In accordance with the FAR, [2 CFR 200.33](#) and [2 CFR 200.94](#), POA defines inventory as follows:

- Equipment means tangible personal property (including information technology systems) having a useful life of more than one year and a per-unit acquisition cost which equals or exceeds USD \$5,000.
- Supplies means all tangible personal property other than those described in equipment (above). A computing device (e.g. computers) is a supply if the acquisition cost is less than USD \$5,000, regardless of the length of its useful life. However, the monetary value

threshold for accounting of inventory items at POA (e.g. furniture, supplies, and fixtures) is USD \$100 USD per item. All items below this amount will not need to be recorded on the inventory tracker.

All staff are responsible for keeping the items under their direct responsibility (desks, chairs, computers, other office furnishings) safe and secure and using them in a proper manner. Upon receipt of goods, the Procurement Lead is responsible for ensuring all inventory as defined above, is recorded on the [Inventory & Equipment Listing Report template](#) and marked with the appropriate label (see [Section 10.1](#)). For subrecipients/subcontractors, the Grants Manager and/or the HO Director are responsible for ensuring that subrecipients/subcontractors are properly tracking and labeling goods. Note that fixed amount award subrecipients/subcontractors do not need to provide inventory list unless a milestone specifically states the delivery of equipment or assets, in which case only those goods are considered. For a cost reimbursable award subrecipient/subcontractor all items that meet the criteria must be reported on the inventory template. The F&A Director is responsible for ensuring compliance to this procedure, that all staff are trained on this procedure and supporting instructions, and that equipment is adequately insured.

10.1 Branding & Marking

Each physical asset with a value of \$100 and above must be marked with a unique identification number and labeled property of the donor immediately upon receipt. Each project should order a pre-number label booklet. All equipment and supplies valued at \$100 USD+ with a useful of more than 1 year, must be label with a sticker in the following format: “Partners of the Americas COUNTRY – DONOR Funded: NAME OF PROGRAM Project AWARD NUMBER plus a unique inventory number. It should include the logo of POA and donor (if required by marking and branding plan). The marking and branding labels must follow the prime award requirements. Inventory labels should be placed in a discreet, but visible position on the item. Items shall not be grouped under the same inventory number. There are instances when labeling of assets is limited due to security reasons, and an exemption should be received from the donor.

10.2 Annual Inventory Reporting

Each POA requires all projects to conduct a physical inventory annually to determine that all property and equipment are properly accounted for, any changes in location are documented and any changes in status are documented. This must include all project offices and all subrecipient/subcontractor inventory (unless a disposition has been granted). The physical inspection /audit of all supplies and equipment (including subrecipients/subcontractors), and the results reconciled with accounting records must be completed at least once a year by January 31st using the [Inventory & Equipment Listing Report template](#). It is not acceptable to ask each staff member to inventory their own items. All projects must report any theft, loss, or damage to project property immediately to the HO Director/COP/PD and the Compliance Team.

For FO the report will be certified and signed by the F&A Director and approved by the COP/DCOP/PD. The report is sent to the HO Director with a copy to the Compliance Team. For HO, the report will be certified by the Administrative Officer and approved by the CFO. A copy is sent to the Compliance Team.

10.3 Disposition of Inventory

At the end of a project or during closedown the program team will have to prepare a disposition of inventory. The annual inventory report used as the basis for the disposition plan on project inventory. of the disposition of inventory, which is why it is critical to keep an updated and accurate inventory list throughout the implementation. The program team will have to determine the best recipient organizations for the items or if the item should be retained by POA.

Typically, as part of the disposition process, the donor will require a determination of current fair market value for the inventory. To determine fair market value for inventory. POA uses a straight-line depreciation method. As part of the straight-line depreciation method. The program team will have to determine the useful life of each inventory item. For equipment the program team should follow the [IRS recommendations for useful life](#). For other supplies that are included on the inventory list POA should use the following categories:

- Furniture and Fixture – Useful life 8 years



- Office Equipment (printers, phone, scanners, projectors, televisions, etc.) – Useful life 4 years
- Computer equipment (laptops, tablets, desktop computers, etc.) – Useful life 4 years
- Computer software – Useful life 2 years
- Vehicles – Useful life 5 years

The formula for straight line depreciation should be $\text{Unit Price/Useful Life} \times (\text{Useful Life} - \text{Age in Years})$. This calculates the value of the item based on the number of useful years remaining in its useful life. When the formula results in a negative value, this means that the market value is equal to \$0. If a good is considered damaged and no longer usable, then POA should calculate only the salvage price. As a base POA, uses 10% as the salvage value for any good.

11. File Structure for Procurements

To ensure consistency in filing of documents, POA require the following structure for procurement folders. Each program/unit should have a separate folder labeled procurements. In the procurement folder, there must be separate subfolders that indicate the program name, brief description of good or service, and next sequential number of procurement. Ex. “100K – Room Rental 7/15 - 005”. Within that sub procurement folder, the procurement team must create a list of the following folders (as applicable for each procurement method, if a particular deliverable is not required for the procurement method, please just skip the number and folder):

1. *Purchase requisition form* – includes PRF and any other supporting documentation for budget approval.
2. *Market research* - includes copies of all research conducted.
3. *RFQ/RFP* – includes final RFQ-RFP and any amendments, including questions and answers.
4. *Advertising* - includes proof of email for vendor distribution list or copies of publicly placed ads.
5. *Quotes/proposals* - includes copies of all quotes/proposals received, filed by vendor name (folder should include copies of all required submission documents).



6. *Evaluation/selection* - includes copies of the final evaluation matrix, signed Statement of Confidentiality/Conflict of Interest Forms, and any other evaluation committee notes. Additionally, includes signed negotiation memo and source selection memo.
7. *Donor approval* - Includes copies of requests and approvals received for prior approval and/or waivers.
8. *Vetting* - includes copy of Visual Compliance check.
9. *Contract* - includes fully executed contract, including all modifications.
10. *Payment* – includes copies of the payment request form, invoice, any other items, or deliverables required for payment, proof of payment/receipt, and confirmation of goods received.